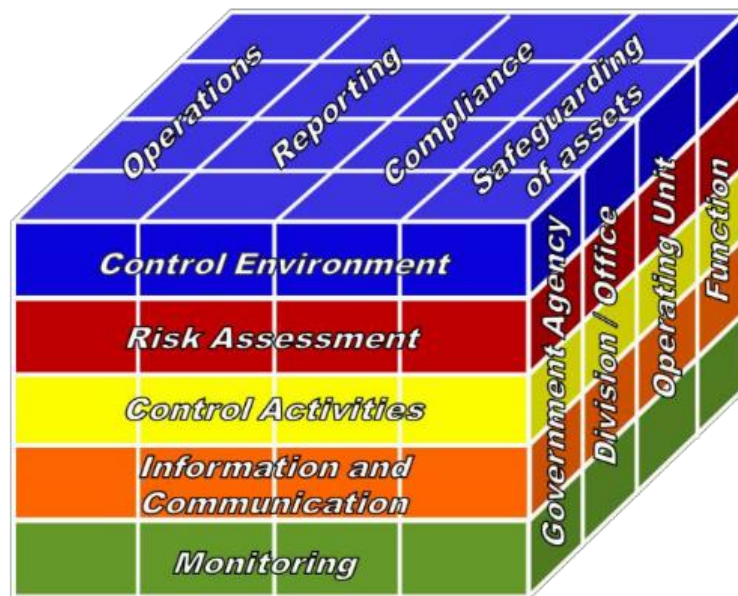




Internal Control Standards for the Philippine Public Sector (ICSPPS)



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Internal Control Standards for the Philippine Public Sector

FOREWORD

This Internal Control Standards for the Philippine Public Sector (ICSPPS) is another milestone in the Philippine Government insofar as public accounting and auditing are concerned. Section 2 (2), Article IX-D of the 1987 Constitution, vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations. Further, it provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate, to correct deficiencies.

The ICSPPS has been developed primarily to provide guidelines on a basic framework and integrated with the essential management processes of planning, executing, and monitoring. It draws on important international studies, which are acknowledged benchmarks of international good practices while, at the same time, takes into account the current situation of the Philippine public sector. It is upon these guidelines that the internal control systems adopted by the agencies shall be evaluated.

The ICSPPS sets out various principles and principal foci of an effective internal control system. The principles should help government officers and employees understand and implement the requirements of the standards, and formulate their own internal control procedures that are customized to the specific circumstances, and characteristics of their operations.

This ICSPPS seeks to supplement and strengthen the efforts of government agencies to foster effectiveness, efficiency, transparency, and accountability in the public sector.



MICHAEL G. AGUINALDO
Chairperson

ACKNOWLEDGMENT

The Internal Control Standards for the Philippine Public Sector (ICSPPS) is one of the initiatives of the Commission on Audit (COA), developed by the Internal Auditing Research and Development Committee (IARDC), to provide assistance in the strengthening of internal control systems in government agencies. However, the endeavor would not have been successful without the inspiring full support of the following members of the COA Commission Proper:

Chairperson Michael G. Aguinaldo,
Commissioner Jose A. Fabia, and
Commissioner Isabel D. Agito;

and their vision of a paradigm shift to uplift the Commission's level of public service, with the goal stated in the COA Strategic Plan for 2016-2022 to "Enable and Empower Government Agencies" through the promulgation of internal control and internal auditing standards/guidelines;

the Goal Champions, Assistant Commissioners Elizabeth S. Zosa, Commission Proper Adjudication and Secretariat Support Services Office and Manolo C. Sy, Systems and Technical Services Sector, for their untiring guidance and direction in the development of the ICSPPS; and

the following officers and members of the IARDC for their hard work and selfless commitment:

Directors Edna D. Santos - Chairperson, Angelina B. Villanueva - Co-Chairperson, Members of the Committee: Directors Fidela M. Tan, Lorna D. Cabochan, Lorna V. Anacay, Maribeth F. de Jesus, Gloria M. Bacani, Julia E. Moreno, Supervising Auditors Marilyn C. Briones, Ricardo R. Selda, Jr., Service Chiefs Angela T. Perseveranda, Atty. Dainelee V. German, Editha L. Aguilar, and Antonia C. de Jesus.

Credit is given to Mr. Humphry G. Torres, OIC - Service Chief; and Mr. Sharcope Stephen R. Manimog, State Auditor; both from the Office of the Regional Director, COA Regional Office XI, Davao City, for their significant contributions in the development of the ICSPPS.

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The gathering of valuable inputs, opinions, and comments, through the conduct of Group Discussions, were successfully done with the unwavering support of the Assistant Commissioners, Directors, selected auditors, and personnel of the National Government Sector, Local Government Sector, and Corporate Government Sector, under the leadership of Assistant Commissioners Susan P. Garcia, Rizalina Q. Mutia, and Winnie Rose H. Encallado, respectively.

And to all those who in one way or another have assisted for the successful completion of this ICSPPS, we acknowledge their contributions.

Most importantly, we thank **GOD**, for without HIS guidance and blessings, the success of this endeavor would not have been possible.

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INTRODUCTION

Article IX-D of the 1987 Constitution vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations. Further, it provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate to correct deficiencies.

In line with the current goal of the COA to empower and enable government agencies, through the strengthening of Internal Control System and effective functioning of internal audit services, the Internal Auditing Research and Development Committee (IARDC) was created pursuant to COA Office Order No. 2016-301 dated April 13, 2016 and was tasked to develop the Internal Control Framework (ICF) and the Philippine Internal Auditing Standards (PIAS).

In compliance with the aforesaid Office Order, the IARDC conducted a review of the provisions of the International Professional Practices Framework (IPPF) promulgated by the Institute of Internal Auditors (IIA), Internal Control-Integrated Framework (ICIF) 2013 by Committee of Sponsoring Organizations of the Treadway Commission (COSO), International Organization of Supreme Audit Institutions Guidance for Good Governance (INTOSAI GOV) 9100 to 9199, Philippine Government Internal Audit Manual (PGIAM), National Guidelines on Internal Control System (NGICS), Handbook on Internal Control Structure, Government Accounting and Auditing Manual (GAAM) Volume III, and other relevant laws, rules and regulations, and recommended the adoption of the Philippine Internal Auditing (PIA) and Philippine Internal Control (PIC) Frameworks for Public Sector, which were approved through COA Resolution No. 2016-016 issued on September 30, 2016.

Based on the approved frameworks, the IARDC developed the Internal Control Standards for the Philippine Public Sector (ICSPPS) which was approved for adoption under COA Resolution No. 2018-007 dated February 01, 2018 (Annex A). The ICSPPS aims to provide the applicable guidelines essential for establishing, implementing, and maintaining effective internal control in all agencies of the government.

The ICSPPS focuses on the elements/components of the PIC Framework. The PIC Framework for the Public Sector consists of the Objectives, Components, and Levels of Agency Structure. In addition, the ICSPPS provides the criteria for establishing and evaluating internal controls that will enable Philippine

government agencies achieve their objectives on operations, reporting, compliance, and safeguarding of assets. The ICSPPS aims to update the concept of internal control and promote a common understanding among stakeholders, especially the management and other personnel of an agency, who have different roles or responsibilities for internal control.

This ICSPPS is a “living document,” where continuous effort shall be made to update its contents, whenever necessary to maintain its relevance, acceptability, and usability to the intended users.

GLOSSARY OF TERMS

Access controls - Controls designed to protect resources from unauthorized modification, loss, or disclosure.

Accountability - The process whereby public service bodies and the individuals within them are held responsible for their decisions and actions, including their stewardship of public funds and all aspects of performance. It also refers to the duty imposed on audited persons or agencies to show that they have administered or controlled the funds entrusted to them in accordance with the terms on which the funds were provided.

Adequate controls - These controls are present if management has designed and implemented internal controls which provide reasonable assurance that the agency's risks have been managed effectively for its goals and objectives to be achieved efficiently.

Agency - Any of the various units of the government, including a department, bureau, office, instrumentality, government- owned or -controlled corporation and its subsidiaries, any self-governing board or commission of the government, a local government unit or a distinct unit therein, and any other entity or instrumentality of the government. Also referred as Government Agency.

Application controls - The structure, policies, and procedures that apply to separate, individual application systems and are designed to cover the processing of data within specific application software. These controls are programmed procedures in application software and related manual procedures, designed to help ensure the completeness and accuracy of information processing. Examples include computerized edit checks of input data, numerical sequence checks, and manual procedures to follow up on items listed in exception reports.

Approval - The confirmation or sanction of employee decisions, events, or transactions based on a review.

Audit - Review of an agency's activities and operations to ensure that these are being performed or are functioning in accordance with objectives, budget, laws, rules, regulations, and standards. The aim of this review is to identify, at regular intervals, deviations which usually require corrective action.

Audit institution - Public body which, however, or regardless of how it is appointed, composed, or organized, carries out external audit duties in accordance with the law.

Auditee - The department, office, division, branch or unit, and subsidiary within the government agency subject of the audit.

Budget - Quantitative financial expression of a program of measures planned for a given period. The budget is drawn up with a view of planning future operations and making ex post facto checks on the results obtained.

Code of Ethics - Principles relevant to the profession and practice of internal auditing, and Rules of Conduct that describe behavior expected of internal auditors. The Code of Ethics applies to both parties: the auditees/management/personnel and the entities that provide internal audit services. The purpose of the Code of Ethics is to promote an ethical culture in the global profession of internal auditing. It includes the Code of Conduct and Ethical Standards for Public Officials and Employees (Republic Act No. 6713), and the Code of Ethics of The Institute of Internal Auditors (IIA).

Competence - A characteristic of people in the organization who possess and maintain the skill, knowledge, and ability to perform their assigned duties.

Compliance - Conformity and adherence to policies, plans, procedures, laws, regulations, contracts, or other requirements.

Computer controls - These refer to controls programmed into computer software (contrast with manual controls). These are controls over computer processing of information, consisting of general controls and application controls (both programmed and manual).

Computer information system - A computer information system (CIS) environment exists when a computer, of any type or size, is involved in the processing by the agency of (financial) information of significance to the audit, whether that computer is operated by the agency or by a third party.

Control - This refers to any action taken by management, the head of agency or the governing body/audit committee, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. The goal of control is to prevent losses to the agency arising from the different hazards in government operations.

Control activities - Control activities are the policies and procedures established to address risks and to achieve the agency's objectives. The procedures that an agency puts in place to treat risks are called internal control activities. Internal control activities are responses to risks, in that they are designed to contain the uncertainty of outcome that has been identified.

Control environment - The control environment sets the tone of an agency, influencing the control consciousness of its staff. It is the foundation for all other components of internal control, providing discipline and structure.

Cost - This refers to the financial measure of resources consumed in accomplishing a specified purpose and to the economic measure of a lost opportunity such as a delay in operations, a decline in service levels or productivity, or low employee morale.

Data - Facts and information that can be communicated and manipulated.

Deficiency - A perceived, potential or real internal control shortcoming, or an opportunity to strengthen internal control to provide a greater likelihood that the agency's objectives are achieved.

Detective control - A control designed to discover an unintended event or result (contrast with preventive control).

Division/Office - This refers to any major functional unit, within the framework of a government agency, where functions are defined by law or regulation.

Documentation of the internal control structure - This refers to the material and written evidence of the components of the internal control process, including the identification of an organization's structure and policies, its operating categories, its related objectives, and control activities. This should appear in documents such as management directives, administrative policies, procedures, and accounting and other manuals.

Economical - Not wasteful or extravagant. It also means getting the right amount of resources, of the right quality, delivered at the right time and place, at the lowest cost.

Economy - Minimizing the cost of resources used for an activity, having regard to the appropriate quality. It refers to acquisition at the right time and at the lowest

cost of financial, human, and material resources which are suitable in terms of both quality and quantity.

Effective - This means “doing the right things.” The accomplishment of objectives or the extent to which the outcomes of an activity match the objective/s or the intended effects of that activity.

Effectiveness - The extent to which objectives are achieved and the relationship between the intended impact and the actual impact of an activity. It refers to the extent to which the stated objectives have been attained in a cost-effective way.

Efficient - The relationship between the resources used and the outputs produced to achieve the objectives. It means that minimum resource inputs are used to achieve a given quantity and quality of output, or maximum output is produced with a given quantity and quality of resource inputs.

Efficiency - The relationship between the output, in terms of goods, services, or other results, and the resources used to produce the output. It refers to the use of financial, human, and material resources in such a way that maximizes output for a given amount of resources or minimizes input for a given quantity or quality of output.

Ethical - This relates to moral principles.

Ethical values - Moral values that enable a decision maker to determine an appropriate course of behavior; these values should be based on what is “right,” which may go beyond what is legally required.

Fraud - An unlawful interaction between two entities, where one party intentionally deceives the other through the means of false representation in order to gain illicit and unjust advantage. It involves acts of deceit, trickery, concealment, or breach of confidence that are used to gain some unfair or dishonest advantage.

Function - The program, project, activity, or process in the agency.

General controls - General controls are the structure, policies, and procedures that apply to all or to large segment of an agency’s information systems and help ensure their proper operation. These controls create the environment in which application systems and controls operate. These include policies and procedures that help ensure the controls over information technology management; information technology infrastructure; security management; and software

acquisition, development, and maintenance. General controls support the functioning of programmed application controls. Sometimes general controls are described as general computer controls and information technology controls.

Governance - The combination of processes and structures implemented by the head of agency or the governing body/audit committee to inform, direct, manage, and monitor the activities of the agency toward the achievement of its objectives.

Governing body - Group of persons charged with the responsibility to direct and/or oversee the activities and management of the agency. Typically, this includes an independent group of directors (e.g., a board of directors, a supervisory board, or a board of governors or trustees). Although governance arrangements vary among jurisdictions and sectors, typically the governing body includes members who are not part of management.

Government - This shall mean the Government of the Republic of the Philippines.

Head of agency - Any appointed or elected official charged to oversee the day-to-day operations of a government agency. It also refers to Department Secretary, Chairperson or President (in national government agencies, constitutional commissions, government financial institutions, and state universities and colleges) who has the power to appoint, as well as Governors or Mayors.

Head of internal audit - The highest official in the internal audit service of an agency concerned who is responsible for effectively managing the internal audit service in accordance with the internal audit charter and the Definition of Internal Auditing, the Code of Ethics, and the Internal Auditing Standards for the Philippine Public Sector. The specific job title and/or role of the head of internal audit may vary across organizations.

Independence - The freedom from conditions that threaten the ability of the internal audit service to carry out internal audit responsibilities in an unbiased manner.

Inherent risk - The risk to an agency in the absence of any actions the management might have taken to alter either the risk's likelihood or its impact.

Institute of Internal Auditors (IIA) - The IIA is an organization that establishes ethical and practice standards, provides education, and encourages professionalism for its members.

Integrity - The quality or state of having sound moral principle; uprightness, honesty, and sincerity; the desire to do the right thing, to profess, and to live up to a set of values and expectations.

Internal audit - The functional means by which the managers of an agency receive an assurance from internal sources that the processes for which they are accountable are operating in a manner which will minimize the probability of the occurrence of fraud, error, and inefficient or uneconomic practices. It has many of the characteristics of external audit but may properly carry out the directions of the level of management to which it reports. It also refers to an independent and objective assurance and advisory activity designed to add value and improve an organization's operations.

Internal auditor(s) - This refers to the individual(s) who examine and contribute to the ongoing effectiveness of the internal control system through their evaluations and recommendations, but they do not have primary responsibility for designing, implementing, maintaining, and documenting it.

Internal audit service - A department, division, unit, office, or other practitioner(s) that provide(s) independent and objective assurance and advisory services designed to add value and improve an organization's operations. The internal audit service helps an agency accomplish its objectives by bringing a systematic and disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.

Internal control - An integral process that is effected by an agency's management and personnel, and is designed to address risks and provide reasonable assurance that in pursuit of the agency's mission, the general objectives are being achieved.

Internal Control Standards for the Philippine Public Sector (ICSPPS) - A professional pronouncement promulgated by the Commission on Audit that provides guidelines on a broad framework, within which the internal control system of government agencies shall be built in and integrated with the basic management processes of planning, executing, and monitoring.

Internal control system (or process, or architecture) - A synonym for internal controls applied in an agency. It refers to an agency's whole system or network of methods, procedures, and plans which govern its activities to accomplish its goals and objectives.

International Organization of Supreme Audit Institutions (INTOSAI) - The professional organization of supreme audit institutions (SAI) in countries that belong to the United Nations or its specialized agencies. SAIs play a major role in auditing government accounts and operations, and in promoting sound financial management and accountability in their governments.

Input - Any data entered into a computer or the process of entering data into the computer. A start-up force or signal that provides the system with its operating necessities.

Management - Comprises officers and others who also perform senior managerial functions. Management structure may include governing body/audit committee which all have different roles and compositions.

Management administrative controls - Internal controls designed to promote operational efficiency and encourage adherence to established management policies.

Management process - The series of actions taken by management to run an agency. Internal control is part of and is integrated with the management process.

Monitoring - This is one of the components of internal control, and it is the process that assesses the quality of the internal control system's performance over time.

Materiality - This refers to the magnitude of an omission or misstatement of accounting information that may change or influence the judgment of a reasonable person.

Network - A group of computers and associated devices that are connected by communications facilities. A network can involve permanent connections, such as cables or temporary connections made through telephone or other communication links. A network can be as small as a local area network consisting of few computers, printers, and other devices. It can consist of many small and large computers distributed over a vast geographic area.

Objectivity - An unbiased mental attitude that allows SAI's internal and external auditors to perform engagements in such a manner that they have an honest belief in their work product, and that no significant quality compromises are made. Objectivity requires the auditors not to subordinate their judgment on audit matters to that of others.

Operating unit - This refers to a government institution charged with carrying out specific substantive functions or which directly implements program, activity, or project of a government agency.

Operations - This refers to the functions, processes, and activities by which an agency's objectives are achieved.

Orderly - This means in a well-organized or methodical way.

Output - In information technology, this refers to data/information produced by computer processing such, as graphic display on a terminal or a hard copy; the result of the process.

Philippine Internal Control Framework for the Public Sector - The conceptual framework that organizes the authoritative guidance on internal controls promulgated by the Commission on Audit.

Policy - Management's dictate of what should be done to effect control. A policy serves as the basis for procedures for its implementation.

Preventive control - A control designed to avoid unintended events or results (contrast with detective control).

Procedure - An action that implements a policy.

Processing - In information technology, this refers to the execution of program instructions by the computer's central processing unit.

Public sector - This refers to the government (national, provincial, municipal, or city government) and related governmental entities (for example, agencies, boards, commissions and enterprises) and government corporations and instrumentalities.

Reasonable assurance - Equates to a satisfactory level of confidence under given considerations of costs, benefits, and risks. This also refers to the concept that internal control, no matter how well designed and operated, cannot guarantee that an agency's objectives will be met. This is because of inherent limitations in all internal control systems.

Residual risk - The risk that remains after management responds to the risk.

Risk - The probability that an event will occur and adversely affect the achievement of objectives.

Risk appetite - The amount of risk to which the agency is prepared to be exposed before it judges an action to be necessary. It is the broad-based amount of risk that an agency is willing to accept in pursuit of its mission or vision.

Risk assessment - The process of identifying and analyzing relevant risks to the achievement of the agency's objectives and determining the appropriate response.

Risk evaluation - This means estimating the significance of a risk and assessing the impact and likelihood of the risk occurrence.

Risk management - A process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the organization's objectives.

Risk profile - An overview or matrix of the key risks facing an agency or sub-unit, which includes the level of impact (e.g., high, medium, low) and the probability or likelihood of the event occurring.

Risk tolerance - This refers to the acceptable level of variation in performance relative to the achievement of objectives.

Security program - An organization-wide program for security planning and management that forms the foundation of an organization's security control structure and reflects senior management's commitment to addressing security risks. The program should establish a framework and continuous cycle of activities for assessing risks; developing and implementing effective security procedures; and monitoring the effectiveness of these procedures.

Segregation (or separation) of duties - The type of control where no singular individual or team should control all key stages (authorizing, processing, recording, reviewing) of a transaction or event to reduce the risk of error, waste, or wrongful acts, and the risk of not detecting such problems.

Service continuity control - This type of control involves ensuring that when unexpected events occur, critical operations continue without interruption or are promptly resumed, and critical and sensitive data are protected.

Significance - The relative importance of a matter within the context in which it is being considered, including quantitative and qualitative factors, such as magnitude, nature, effect, relevance, and impact. Professional judgment assists internal auditors when evaluating the significance of matters within the context of the relevant objectives.

Stakeholders - Parties that are affected by the agency such as shareholders, the communities in which the agency operates, employees, customers, and suppliers.

Strategic - High level goals, aligned with and supporting the agency's mission.

Structure - Management's framework for planning, leading, and controlling operations to achieve the agency's objectives.

Supreme Audit Institution (SAI) - The public body of a State which, however designated, constituted, or organized, exercises by virtue of law the highest public auditing function of that State.

System software - Software primarily concerned with coordinating and controlling hardware and communication resources; access to files and records; and the control and scheduling of applications.

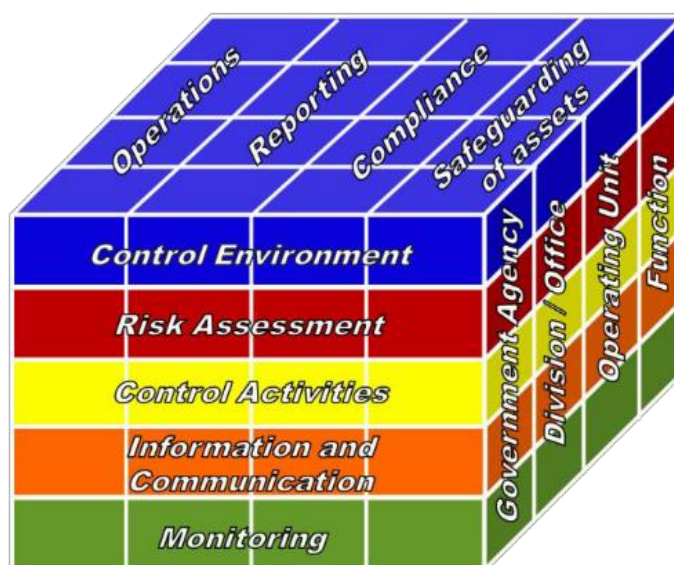
System software controls - Controls over the set of computer programs and related routines designed to operate and control the processing activities of computer equipment.

Uncertainty - Inability to know in advance the exact likelihood or impact of future events.

Waste - The act of using or expending resources carelessly, extravagantly, or to no purpose.

PART I – PHILIPPINE INTERNAL CONTROL FRAMEWORK FOR THE PUBLIC SECTOR

The Philippine Internal Control Framework for the Public Sector provides the fundamentals on internal control. This is designed to guide government agencies in developing and maintaining a comprehensive internal control system. The framework consists of the definition of internal controls, general objectives, components, and levels of agency structure. This is depicted in a three-dimensional matrix, in the shape of a cube, as shown in Diagram 1.



**Diagram 1: Philippine Internal Control Framework
for the Public Sector**

(Adopted from the International Organization of Supreme Audit Institutions, with modifications)

Shown on the next page is a copy of Annex B1 of COA Resolution No. 2016-016, dated September 30, 2016, which capsulizes the elements of the Philippine Internal Control Framework for the Public Sector.

**PHILIPPINE INTERNAL CONTROL (PIC) FRAMEWORK
FOR PUBLIC SECTOR**

Internal Control is an integral process that is effected by an agency's management and personnel and is designed to address risks and to provide reasonable assurance that in pursuit of the agency's mission, the general objectives are being achieved.

OBJECTIVES - what the agency strives to achieve

- | | |
|---------------------------|---|
| 1. Operations | - Executing orderly, economical, efficient, effective and ethical operations |
| 2. Reporting | - Developing, maintaining and making available reliable and relevant financial and non-financial information and by means of a fair disclosure of that information in timely reports to internal as well as external stakeholders |
| 3. Compliance | - Complying with applicable laws, rules, regulations and policies |
| 4. Safeguarding of assets | - Safeguarding resources against loss, misuse and damage due to waste, abuse, mismanagement, errors, fraud and irregularities |

COMPONENTS - represent what is required to achieve the objectives

CONTROL ENVIRONMENT sets the tone of an organization and is the foundation for all other components of internal control, providing discipline and structure.

RISK ASSESSMENT is the process of identifying and analyzing relevant risks to the achievement of the agency's objectives and determining the appropriate response.

CONTROL ACTIVITIES are the policies and procedures established to address risks and to achieve the agency's objectives.

INFORMATION and COMMUNICATION are the essentialities in realizing all internal control objectives by providing management access to relevant, complete, reliable, correct and timely communication related to internal as well as external events.

MONITORING is the process of assessing the quality of the systems performance over time accomplished through ongoing monitoring, separate evaluations or a combination of both in order to help ensure that internal control continues to be applied at all levels and across the agency, and that internal control achieves the desired results.

LEVELS OF AGENCY STRUCTURE

Organizational Units - the levels of the organization where internal control operates

- Government Agency
- Division/Office
- Operating Unit
- Function

Levels of agency structure where internal control is implemented by management and personnel

Diagram 2: Annex B1 of COA Resolution No. 2016-016 dated September 30, 2016

A. Purpose of the Internal Control Framework

The purpose of the internal control framework is to identify the requirements for establishing an effective internal control system for government agencies, with the requisite general objectives, internal control components, and levels of agency structure where internal control operates.

B. Relationship among the General Objectives, Internal Control Components, and Levels of Agency Structure

The relationship among the General Objectives, Internal Control Components, and Levels of Agency Structure can be depicted as follows:

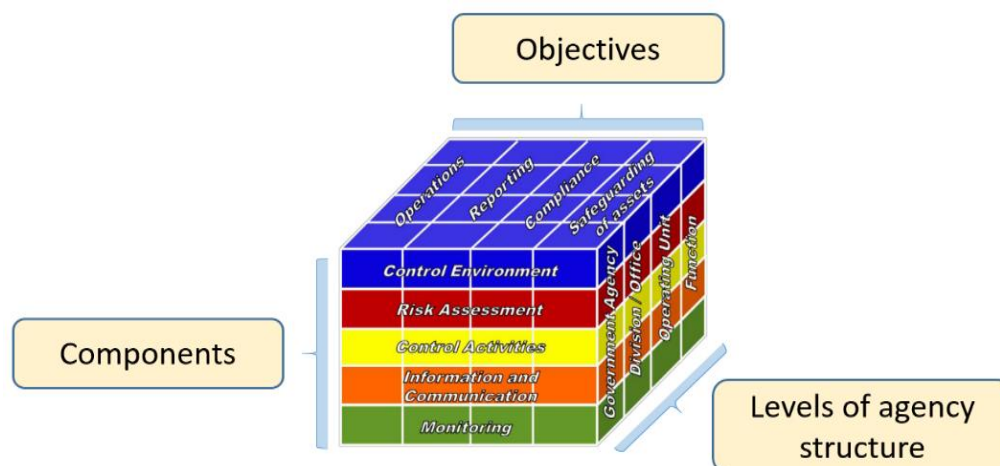


Diagram 3: Composition of Philippine Internal Control Framework for the Public Sector

There is a direct relationship among the general objectives, which represent what an agency strives to achieve; the internal control components, which represent what are needed to achieve the general objectives; and the levels of agency structure, which represent the levels of the government agency where the components of internal control operate.

The four general objectives – operations (orderly, ethical, economical, efficient, and effective), reporting (and accountability), compliance (with laws and regulations), and safeguarding of assets (or resources) – are represented by the vertical columns; the five components are represented by horizontal rows; and the

different levels of agency structure are depicted by the third dimension of the matrix.

Looking at the general objectives, all five components are relevant to each objective. Taking one objective, such as effectiveness and efficiency of operations, it is clear that all five components are important to its achievement. Each component row “cuts across” to all four general objectives. This can be further explained as follows:

- 1) The control environment has the overall influence on how strategy and objectives are established and control activities are structured.
- 2) Having set clear objectives and established effective control environment, an assessment of the risks facing the agency, as it seeks to achieve its mission and objectives, provides the basis for developing an appropriate response to risk.
- 3) The major approach for mitigating risk is through internal control activities. Control activities can be preventive and/or detective. Corrective actions are necessary complement to internal control activities in order to achieve the objectives. Control activities and corrective actions should have costs that do not exceed the benefits resulting from them (cost effectiveness).
- 4) Effective information and communication is important for an agency to run and control its operations. Agency’s management needs access to relevant, complete, reliable, and correct information related to internal or external events, as well as timely and proper communication of the information to those concerned. Information is needed throughout the agency to achieve its objectives.
- 5) Finally, since internal control is a dynamic process that has to be adapted continuously to the risks and changes an agency faces, monitoring of the internal control system is necessary to help ensure that internal control remains tuned to the changed objectives, environment, resources, and risks.

The components of internal control are supported with 16 Principles and 47 Principal Foci. The Principles represent the essential concepts associated with the five components of internal control and facilitate management in understanding what constitutes an effective internal control.

Supporting each principle are Principal Foci representing the important characteristics associated with the principles, which are intended to provide guidance to management in designing, implementing, and evaluating internal controls; and in assessing whether relevant principles are present and functioning.

Together, the components and principles constitute the criteria, while the points of foci provide guidance that will assist management in assessing whether the components of internal control are present, functioning, and operating together within the agency. Table No. 1 provides the overview of the framework's internal control components and the corresponding principles. Under the framework, an effective internal control requires that each of the five components and 16 principles must be present and functioning. Moreover, the five components must operate together in an integrated manner.

Each principal focus includes attributes intended to assist the users in identifying specific items that indicate the degree to which internal control is functioning. When considering the attributes, users should apply informed judgement to determine the following: a) the applicability of the attribute/s to the circumstances; b) the degree to which the attribute impacts the agency's ability to achieve its mission and goals; c) whether the agency has actually been able to implement, perform, or apply the attributes; and d) any control weaknesses that may actually result from the attribute/s. Examples of attributes are shown in Annex B.

A principle not met under one component may directly affect the functioning of a principle in another component. With the interrelationships between and among the general objectives and the components, a non-existent or non-functioning principle under one component may have a pervasive effect on the other components. In other words, when one component is not present and functioning, all components cannot be effectively functioning in an integrated manner. Meaning, the design and operating effectiveness of the internal control system as a whole is negatively affected.

Internal control is not only relevant to the entire Philippine Government but also to an individual department/office/operating unit. This relationship is depicted by the third dimension, which represents the entire agency, division/office, operating unit, and function.

While the internal control framework is relevant and applicable to all government agencies, the manner in which management applies it will vary widely with the nature of the agency and will depend on a number of agency-specific factors.

These factors include the organizational structure, risk profile, operating environment, size, complexity, activities, and degree of regulation, among others. As it considers the agency's specific situation, management will make a series of choices regarding the complexity of processes and methodologies deployed to apply the internal control framework's components.

COMPONENTS	PRINCIPLES
CONTROL ENVIRONMENT	1. Management demonstrates personal and professional integrity and ethical values; 2. Management sets the "tone at the top"; 3. Management establishes an appropriate government organizational structure; 4. Management exhibits commitment to competence; and 5. Management establishes human resource policies and practices.
RISK ASSESSMENT	6. Management identifies and defines objectives and risk tolerance in specific and measurable terms; 7. Management identifies, evaluates, and assesses agency's risks; and 8. Management determines appropriate response to the identified, evaluated, and assessed agency's risks.
CONTROL ACTIVITIES	9. Management designs control activities which are appropriate, consistently functioning according to plan throughout the period, cost-effective, comprehensive, reasonable, and directly related to the control objectives. 10. Management develops control activities which include a range of diverse policies and procedures; and 11. Management develops effective information technology control activities.
INFORMATION AND COMMUNICATION	12. Management develops and maintains reliable and relevant financial and non-financial information; 13. Management communicates information throughout the agency; and 14. Management communicates information with external parties.
MONITORING	15. Management establishes and operates activities to monitor the internal control system, and evaluates the results; and 16. Management takes appropriate actions on the findings and recommendations of audit and other reviews.

Note: Management comprises officers and others who also perform senior managerial functions. Management structure may include governing body/audit committee which all have different roles and compositions.

Table 1: Five Components of Internal Control and the Related Principles

PART II – FUNDAMENTALS OF INTERNAL CONTROL

A. Definition of Internal Control



Diagram 4: Definition of Internal Control

Internal Control is an integral process that is effected by an agency's management and personnel, and is designed to address risks and provide reasonable assurance that in pursuit of the agency's mission, the general objectives are being achieved.

For better understanding, this definition is described in detail as follows:

1) An integral process

Internal control is a series of actions that permeate an agency's daily activities. These actions occur throughout an agency's operations on an ongoing basis. They are pervasive and inherent in the way management runs the agency.

The internal control system is intertwined with the agency's activities. It is usually more economical and most effective when it is built in the agency's infrastructure and strategically incorporated in the way things are done in the agency. By building in internal control, it becomes part of, and integrated with the basic management processes of planning, executing, and monitoring.

However, built in internal control also has important implications for cost containment. Adding new control procedures that are separate from existing procedures adds costs, but by integrating controls in the basic operating activities, unnecessary procedures and costs are often avoided.

2) Effected by management and other personnel

People are what make internal control work. It is accomplished by what management and other personnel say and do. Consequently, internal control is effected by people who must know their roles, responsibilities, and limits of authority. Hence, all personnel in the agency play important roles in making it happen.

Although management primarily provides oversight, it also sets the agency's objectives, including goals/foci/thrusts, and has overall responsibility for the internal control system. As internal control provides the mechanisms needed to help understand risk in the context of the agency's objectives, management will put internal control activities in place, monitor, and evaluate them. The implementation of internal control requires significant management initiatives and intensive communication with other personnel.

Since internal control is effected by people, it is affected by human nature. Internal control guidelines recognize that people do not always understand, communicate, or consistently perform; each individual brings to the workplace a unique background and technical ability; and has different values, needs, and priorities.

The specific roles and responsibilities for internal control of the people in the agency can be presented as follows:

Head of agency - is directly responsible for all activities of the agency which include designing, implementing, maintaining, and evolving a system of evaluation of internal control system, as well as implementing corrective actions.

Governing body - generally provides governance, guidance, and oversight. Management is primarily answerable to the governing body. Effective members of the governing body are objective, capable, and inquisitive. They also have knowledge of the agency's

activities and environment, and commit the time necessary to fulfill their responsibilities. A strong and active governing body, particularly when coupled with effective upward communication channels and capable financial, legal, and internal audit functions, is often best able to identify and correct problems of mismanagement and overridden controls.

Internal auditors - examine and contribute to the ongoing effectiveness of the internal control system through their evaluations and recommendations.

Employees/Staff - contribute in effecting internal control and should be responsible for reporting problems of operations, non-compliance with the code of conduct, or violations of policy.

External parties also play an important role in the internal control process. They may contribute to achieving the agency's objectives or may provide information useful to effect internal control. However, they are not responsible for the design, implementation, proper functioning, maintenance, or documentation of the agency's internal control system. These external parties are the following:

External auditors - encourage and support the establishment of effective internal control in the government. The assessment of internal control is essential to the external auditor's compliance, financial, and performance audits. They communicate their observations and recommendations to head of agency or governing body, and other interested stakeholders.

President, Legislators, and Regulators - establish or issue rules and directives that contribute to effective internal control in the government.

Other parties - interact with the agency (beneficiaries, suppliers, etc.) and provide information regarding achievement of its objectives.

3) To address risks

Whatever the agency's mission may be, its achievement will face all kinds of risks. The task of management is to identify and respond to these risks in order to maximize the likelihood of achieving the agency's mission. Internal control can help address these risks. However, it can only provide reasonable assurance about the achievement of the agency's general objectives.

4) To provide reasonable assurance

No matter how well designed and operated, internal control cannot provide absolute assurance regarding the achievement of the general objectives. Instead, only a "reasonable" level of assurance is attainable.

Reasonable assurance equates to a satisfactory level of confidence under given considerations of costs, benefits, and risks. Determining how much assurance is reasonable requires judgment. Agencies should identify the risks inherent in their operations and the acceptable levels of risk under varying circumstances, and assess risks both quantitatively and qualitatively.

Reasonable assurance reflects the notion that uncertainty and risks relate to the future, which no one can predict with certainty. Also, factors outside the control or influence of the agency can affect its ability to achieve its objectives.

It recognizes that the cost of internal control should not exceed the benefit derived. Decisions on risk responses and controls establishment need to consider the relative costs and benefits.

A benefit is measured by the degree to which the risk of failing to achieve a stated objective is reduced. Examples include increasing the probability of detecting fraud, waste, abuse, or error; preventing an improper activity; or enhancing regulatory compliance.

5) In pursuit of the agency's mission

Any government agency is primarily concerned with the achievement of its mission - the agency's "reason for being." It exists for a purpose. The public

sector is generally concerned with the delivery of a service and a beneficial outcome in the public interest.

6) Achievement of objectives

Internal control is geared to the achievement of separate but interrelated series of general objectives of an agency, to wit:

- a) executing orderly, ethical, economical, efficient, and effective operations (operations objectives);
- b) fulfilling accountability obligations (reporting or accountability objectives);
- c) complying with laws and regulations (compliance objectives); and
- d) safeguarding resources against loss, misuse, and damage due to waste, abuse, mismanagement, errors, fraud, and irregularities (safeguarding of assets or resources objectives).

B. Importance of Internal Control

Effective internal controls are the best mechanisms of management in achieving the basic objectives of the agency and providing reasonable (but not absolute) assurance of the following:

- **Profitability or sustainability.** Some government agencies must be financially and institutionally sustainable to effectively provide services and products to the public they serve.
- **Observance of management policies.** Management has the primary responsibility for the overall administration of government agency. This includes management's administrative controls which are designed to promote operational efficiency and encourage adherence to established management policies.
- **Safeguarding of assets or resources.** The physical assets of a government agency can be destroyed, misused, or stolen, unless these are protected by adequate controls. Non-physical assets such as receivables, important documents, and financial records are also susceptible to loss or

destruction. Computer records and reports can also be destroyed or lost if care is not taken to protect them through reliable and safe backup procedures, clear assignment of duties, and controlled operating environments.

- **Prevention and detection of fraud and error.** Agency's internal control system is important in the prevention and detection of error, fraud, or other irregularities. The cost of preventing a particular error should be balanced against the likelihood of the error occurring and the amount of the error that could occur.
- **Accuracy and completeness of accounting records.** One of the important controls in the internal control system is a strong accounting system. The accounting system must produce accurate and complete accounting records and reports.
- **Timely preparation of reliable financial information.** Financial reports and information must be both reliable and timely to be useful for management in decision making and readily available to other stakeholders.
- **Protection of staff members and other stakeholders against disinformation.** Information must be both reliable and accurate to be useful for staff members and other stakeholders against disinformation.

C. Limitations of Internal Control Effectiveness

Internal control cannot by itself ensure the achievement of the general objectives, as previously discussed.

An effective internal control system, no matter how well conceived and operated, can only provide reasonable – not absolute – assurance to management about the achievement of an agency's objectives. It can give the management an information about the agency's progress, or lack of it, toward achievement of the objectives.

Limitations may result from the following realities:

- a) human judgment in decision making can be faulty;
- b) breakdowns can occur because of simple errors or mistakes;

-
- c) controls can be circumvented by collusion of two or more people; or
 - d) management can override the internal control system.

In addition, compromises in the internal control system reflect the fact that controls have a cost. These limitations preclude management from having absolute assurance that objectives will be achieved.

An effective system of internal control lessens the probability of not achieving the objectives. However, there will always be the risk that internal control will be poorly designed or will fail to operate as intended. Because internal control depends on the human factor, it is subject to flaws in design, errors of judgment or interpretation, misunderstanding, carelessness, fatigue, distraction, collusion, abuse, or override.

Another limiting factor is that the design of an internal control system faces resource constraints. The benefits of controls must consequently be considered in relation to their costs.

Maintaining an internal control system that eliminates the risk of loss is not realistic and would probably cost more than what is warranted by the benefit derived. In determining whether a particular control should be established, the likelihood of the risk occurring and the potential effect on the agency are considered, along with the related costs of establishing a new control.

Organizational changes and management attitude can have a profound impact on the effectiveness of internal control and the condition or quality of personnel operating the system. Thus, management needs to continually review and update controls, communicate changes to personnel, and set an example by adhering to controls.

PART III – INTERNAL CONTROL OBJECTIVES

A system of internal control consists of policies and procedures designed to provide management with reasonable assurance that the agency achieves its objectives and goals. The following are the internal control objectives:

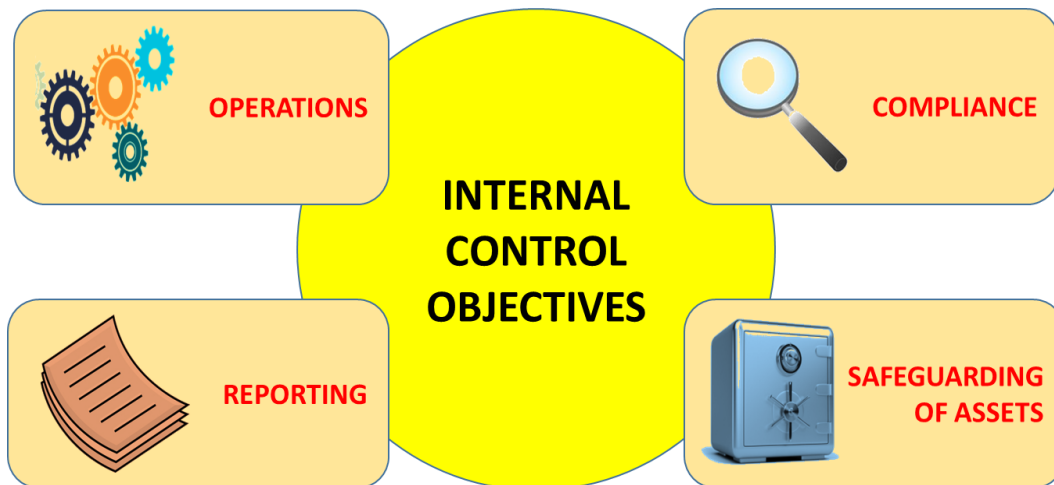


Diagram 5: Internal Control Objectives

A. Operations Objectives

The operations objectives pertain to effectiveness and efficiency of the agency's operations, including operational and financial performance goals. The government agency's operations should be orderly, economical, efficient, effective, and ethical. These objectives should be consistent with the agency's mission.

Significant key terms are described in detail as follows:

- 1) **Orderly**. This means in a well-organized and methodical way.

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- 2) **Economical.** This means being able to perform functions and tasks using the least amount of resources within a specified timeframe. Agencies are enjoined to exercise prudence and restraint in the use of their resources by focusing on their core functions and prioritizing their programs, projects, and activities to those which would contribute best to the attainment of agency objectives. Adherence to the Procurement Law (Republic Act 9184) will also help in ensuring this.
 - 3) **Efficient.** This means “doing things right” given the available resources and within a specified timeframe. This is about delivering the given quantity and quality of outputs with minimum inputs or maximizing outputs with the given quantity and quality of inputs. The principle of prioritization and leveraging of resources has been adopted in government operations.
 - 4) **Effective.** This means “doing the right things” and attaining the desired outcome. Every agency has legislated mandate and functions. Each operating unit has a responsibility in achieving the agency’s mandate and functions. But effective operations mean that the operating units are able to deliver their major final outputs and outcomes, and are able to contribute to the attainment of the agency’s goals in particular, and of the societal goals in general.
 - 5) **Ethical.** This relates to moral principles. The importance of ethical behavior and the prevention and detection of fraud and corruption in the public sector have become more emphasized since the nineties. General expectations are that public servants should serve the public interest with fairness and manage public resources properly. The public should receive impartial treatment on the bases of legality and justice. Therefore, public ethics is a prerequisite to underpin public trust and is a keystone of good governance.

B. Reporting Objectives

The reporting (accountability) objectives relate to internal and external financial and non-financial reporting. These objectives may encompass developing, maintaining, and making available reliable and relevant financial and non-financial information; fair disclosure of information in timely reports to internal as well as external stakeholders; and other terms as set forth by regulators, recognized standard setters, or the agency’s policies.

Accountability obligations of management and other agency personnel are fulfilled or better facilitated through reliable, timely, accurate, relevant, and impartial reporting and communication system of information to stakeholders. A strong and rigid accountability and reporting policies and procedures of a government agency can help deter the commission of graft and corruption.

Accountability is the process whereby government agencies and individuals within them are held responsible for their decisions and actions, including their stewardship of public funds, fairness, and all aspects of performance.

Essential to control and decision making is the generation of correct and credible financial information. This may be achieved through government accounting that is capable of the following:

- a) producing information concerning past operations and present conditions;
- b) providing bases for guidance for future operations;
- c) providing controls for the acts of management and personnel in the receipt, utilization, and disposition of funds and property; and
- d) reporting on the financial position and results of operations of government agencies, for the information of all stakeholders.

On the other hand, non-financial information may relate to the economy, efficiency, and effectiveness of policies and operations (performance information), and to internal control and its effectiveness.

C. Compliance Objectives

The compliance objectives deal with agency's adherence to laws, regulations, contracts, managerial policies, and management directives.

Government operations conform to the basic tenet that powers and authorities of a government office or agency are usually prescribed in the law creating such office or agency. Powers of administrative agencies depend largely, if not wholly, on the provisions of the statute creating or empowering such agency.

Government agencies are required to follow many laws, regulations, and policies. Management and operational compliance are among the things evaluated to assess conformity with laws and other regulatory requirements.

D. Safeguarding of Assets or Resources Objectives

The safeguarding of assets concerns with the safeguard of resources against loss, misuse, and damage due to waste, abuse, mismanagement, errors, fraud, and irregularities.

Although the fourth general objective can be viewed as a subcategory of the first one (orderly, ethical, economical, efficient, and effective operations), the significance of safeguarding resources in the public sector needs to be stressed. This is due to the fact that resources in the public sector generally embody public money, and their use in the public interest generally requires special care.

Government agencies do not always have an up-to-date record of all their assets which make them more vulnerable. Therefore, controls should be embedded in each of the activities related to managing the government agency's resources, from acquisition to disposal.

Other resources such as information, source documents, and accounting records are the keys to achieving transparency and accountability of government operations which should be preserved. However, agency's resources are in danger of being stolen, misused, or destroyed. For instance, sensitive information stored on computer media can be destroyed or copied, distributed, and abused if care is not taken to protect them.

As such, safeguarding certain resources and records has become increasingly important since the arrival of computer systems.

PART IV – INTERNAL CONTROL COMPONENTS

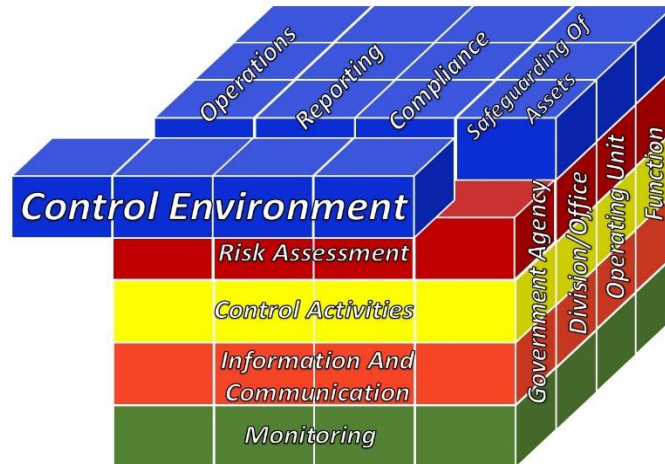
Internal control is designed to provide reasonable assurance that the agency's general objectives are being achieved. Internal control has five interrelated components which define the minimum level of quality acceptable for internal control in government and provide the bases against which internal control is to be evaluated.

The standards apply to all aspects of an agency's operations, namely programmatic, financial, and compliance. However, these are not intended to limit or interfere with duly granted authority related to developing legislation, rule-making, or other discretionary policy-making in an agency. These standards provide a general framework. Management has the primary responsibility for developing the detailed policies, procedures, and practices to fit the agency's operations and to ensure that these are built into and form an integral part of operations.

The five main components of internal controls are as follows:

- A. Control environment** – sets the tone of an agency, influencing the control consciousness of its staff. It is the foundation for all the other components of internal control, providing discipline and structure.
- B. Risk assessment** – the process of identifying and analyzing relevant risks to the achievement of the agency's objectives and determining the appropriate response.
- C. Control activities** – the policies and procedures established to address risks and to achieve the agency's objectives. Internal control activities are responses to risk designed to contain the uncertainty of outcome that has been identified.
- D. Information and communication** – effective processes and systems that identify, capture, and report among other things the operational, financial, non-financial, compliance, and other related information in a form/content and timeframe that enable people to carry out their responsibilities.
- E. Monitoring** – the process that assesses the quality of the internal control system's performance over time.

A. CONTROL ENVIRONMENT



Control environment serves as the foundation for all components of internal control. It includes the set of standards, processes, and structures that support for establishing internal control across the agency. It is the manifestation of management's kind of governance which includes its philosophy, style, attitude, competence, ethical values, integrity, and morale.

The control environment is influenced by the agency's structure and accountability relationships. It has a pervasive impact on the decisions and activities of an agency.

An effective control environment can only be attained when competent people clearly understand the limits of their authority and responsibilities; are well-informed, mindful, and committed to doing what is right, and doing it the right way; are committed to the agency's culture; and are following the policies and procedures that are in place to support that culture.

Principles of the control environment component are the following:

1. **Management demonstrates personal and professional integrity and ethical values.**

The personal and professional integrity and ethical values of management and staff determine their preferences and value judgments, which are translated into standards of behavior. They should exhibit a supportive attitude toward internal control at all times throughout the agency.

Ethical values are the standards of behavior that form the framework for employee conduct and guide employees when making decisions. Ethical values and integrity are key factors to a positive control environment.

Principal foci under this principle include the following:

- 1.1 Management should establish and communicate the integrity and ethical values of the agency.
- 1.2 Management and staff should exhibit a supportive attitude toward internal control at all times throughout the agency.
- 1.3 Every officer and employee in the agency should maintain and demonstrate personal and professional integrity and ethical values, and has to comply with the applicable code of conduct at all times.

The two essential elements of the control environment are integrity and ethical values. These elements affect the design, administration, and monitoring of other internal control components.

Integrity and ethical behavior are the product of the agency's ethical and behavioral standards, how they are communicated and how they are strengthened in practice. Management's action may include the following:

- a) elimination or reduction of incentives and temptations that prompt personnel to engage in fraud, illegal, dishonest, and unethical behaviors; and
- b) communication of agency's ethical values and behavioral standards to personnel through policy statements, code of conduct, and example.

Also, government agencies have to maintain and demonstrate integrity and ethical values and make these visible to the public in their mission and core values. In addition, operations of government agencies have to be ethical, orderly, economical, efficient, effective, and consistent with their mission.

2. Management sets the “tone at the top.”

The “tone at the top” reflects management’s philosophy and operating style.

Principal foci under this principle include the following:

- 2.1 The “tone at the top” should reflect management’s commitment, involvement, and support toward internal controls in the agency.
- 2.2 The code of conduct, counselling, and performance appraisals should support the internal control objectives and, in particular, the objective of “ethical operations.”
- 2.3 Agency’s policies, procedures, and practices should promote orderly, ethical, economical, efficient, and effective conduct of operations.
- 2.4 Personnel should be reminded periodically of their obligations under an operative code of conduct issued by the management.
- 2.5 Overall performance appraisals should be based on an assessment of many critical factors, including the employees’ role in effecting internal control.

In carrying out its role, Management should set a good example through its own actions. Its conduct should reflect what is proper rather than what is acceptable or expedient.

The commitment, involvement, and support of government officials and legislators in setting “the tone at the top” foster a positive attitude and are critical to maintaining an effective internal control in an agency.

If management believes that internal control is important, others will sense that and conscientiously observe the controls established. On the other hand, if the members of the agency feel that control is not an important concern and is just given lip service rather than meaningful support, it is almost certain that control objectives will not be effectively achieved.

Consequently, demonstration of, and insistence on ethical conduct by management is of vital importance to the internal control objectives and, in particular, the “ethical operations.”

3. Management establishes an appropriate government organizational structure.

The organizational structure of an agency provides the following:

- a. assignment of authority and responsibility;
- b. empowerment and accountability; and
- c. appropriate lines of reporting.

Empowerment and accountability relate to the manner by which authority and responsibility are delegated throughout the agency. There can be no empowerment or accountability without a form of reporting. Therefore, appropriate lines of reporting need to be defined.

In exceptional circumstances, other lines of reporting have to be added to the normal ones, such as in cases where management is involved in irregularities.

The organizational structure should include an internal audit service independent from management and directly reporting to the highest level of authority within the agency.

Principal foci under this principle include the following:

- 3.1 The organizational structure should clearly define key areas of authority and responsibility, and establish appropriate lines of reporting.
- 3.2 Management should develop and communicate policies to employees to ensure that they understand or are aware of the following:
 - 3.2.1 their duties and responsibilities;
 - 3.2.2 how their individual actions interrelate and contribute to the agency's objectives;
 - 3.2.3 the authority they are delegated; and
 - 3.2.4 how and for what they will be held accountable.

-
- 3.3 Management should develop and maintain documentation of its internal control system to facilitate the establishment and communication of the *who, what, where, and why* of internal control execution.

The framework within which the activities for achieving the agency-wide objectives are planned, executed, controlled, and monitored are defined in the agency's organizational structure.

Establishing an appropriate organizational structure considers key areas of authority, responsibility, and appropriate lines of reporting. The appropriateness of an agency's organizational structure depends, in part, on its size and the nature of its activities.

4. Management exhibits commitment to competence.

Competence is a characteristic of people in the agency who possess and maintain the skill, knowledge, and ability to perform their assigned duties. Management and staff must, therefore, maintain and demonstrate a level of skill necessary to assess risk; help ensure effective and efficient performance; and sufficiently understand internal control to effectively discharge their responsibilities.

Principal foci under this principle include the following:

- 4.1 Management should establish policies and procedures in hiring staff with the necessary skills and knowledge.
- 4.2 Management should establish policies and procedures that current staff receives adequate ongoing training, mentoring, and supervision.
- 4.3 Management should establish policies and procedures in determining the level of knowledge and skill needed to help ensure orderly, ethical, economical, efficient and effective performance, as well as good understanding of individual responsibilities with respect to internal control.
- 4.4 Management should have defined succession and contingency plans for key roles in the agency so it can continue to achieve its objectives, whether there are sudden personnel changes or just the need for training personnel for the long-term replacement of critical positions.

Competence is the level of knowledge and skills necessary to accomplish tasks that define the individual's responsibility. Commitment to competence includes management's consideration of the competence levels for particular jobs and how those levels translate into requisite skills and knowledge.

5. Management establishes human resource policies and practices.

Human resource policies and practices include hiring and staffing, orientation, training (formal and on-the-job) and education, evaluation and counselling, promotion and compensation, and remedial actions.

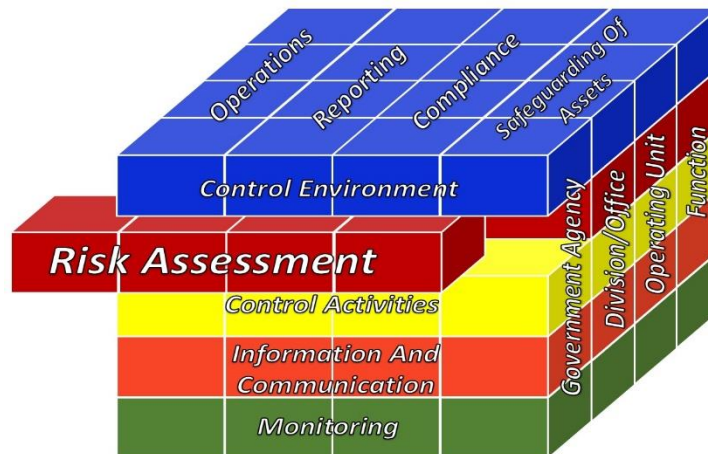
An important aspect of internal control is personnel. Competent and trustworthy personnel are necessary to provide effective control. Therefore, the methods by which people are hired, trained, evaluated, compensated, and promoted are important part of the control environment.

Principal foci under this principle include the following:

- 5.1 Management should establish human resource policies and practices, incorporating the methods by which people are hired, trained, evaluated, compensated, and promoted;
- 5.2 Hiring and staffing decisions should exemplify assurance that individuals recruited have the integrity, proper education, and experience required to carry out their jobs; and that the necessary formal, on-the-job, and ethics trainings are provided;
- 5.3 Management should enforce transparency in recruitment, performance appraisal, and promotion processes.

Levels of performance and behavior can be best illustrated by formulating training policies that communicate prospective roles and responsibilities, and by including practices such as trainings and seminars. Promotions based on periodic performance appraisals establish the commitment of the agency to the advancement of qualified personnel to higher levels of responsibility.

B. RISK ASSESSMENT



Risk is the probability of an event or action to have an adverse effect on the agency. It is directly tied up to control objectives and those events or actions that can prevent the agency from achieving its objectives.

Risk assessment, as a component of internal control, plays a key role in the selection of the appropriate control activities to undertake. Risk assessment involves a dynamic and iterative process of identifying and analyzing threats, through an agency-wide effort, forming a basis for determining how risks should be managed.

Government agencies face a diversity of risks from both internal and external sources that must be evaluated. A precondition to risk assessment is the determination of organizational objectives, and risk assessment itself is the identification and analysis of risks related to the achievement of these objectives. Risk assessment is a prerequisite for determining how the risks should be managed. Risks are analyzed by considering their likelihood and impact as bases in determining how they should be managed. Risks are assessed on an inherent and residual basis.

Government agencies have to manage the risks that are likely to have an impact on service delivery and the achievement of desired outcomes.

Principles of risk assessment component are the following:

6. Management identifies and defines objectives and risk tolerance in specific and measurable terms.

Objectives are determined based on goals and priorities aligned with agency's mission and strategic plan. Objectives detail an agency's areas of concentration for accomplishing its mission and meeting its expectations.

Setting the objectives is a precondition to risk assessment. Objectives must be defined before management can identify the risks to their achievement and take the necessary actions to manage those risks. This means having in place an ongoing process for evaluating and addressing the impact of risks in a cost-effective way, and having staff with the appropriate skills to identify and assess the potential risks. This enables management to identify and analyze risks associated with achieving the defined objectives, as part of the risk assessment component of internal control.

Principal foci under this principle include the following:

6.1 Management defines objectives in specific and measurable terms.

6.1.1 Defining agency's objectives in specific terms

Objectives are set at a strategic level, establishing a basis for lower level operations, reporting, and compliance objectives. Every agency faces a variety of risks from external and internal sources. A precondition to effective event identification, risk assessment, and risk response is the establishment of objectives.

Objectives must be established before management can identify and assess risks to their achievement and take the necessary actions to mitigate those risks. Objectives must also be aligned with an agency's risk appetite which drives risk tolerance levels for the agency.

An agency's mission sets out in broad terms the agency's general objectives or what the agency aspires to achieve. Management sets strategic or specific objectives, formulates strategy, and establishes related operations.

Strategic objectives are high-level goals aligned with and supporting the agency's mission. The strategy implemented to achieve the mission and the related objectives should be more dynamic than the mission and should be adjusted to take account of changing conditions.

Despite the diversity of objectives across agencies, objectives can be broadly categorized in the following manner:

A. Operations objectives

These pertain to the orderly, ethical, economical, efficient, and effective execution of the agency's operations to achieve its objectives, including the attainment of financial performance goals.

The operations objectives need to reflect the particular environment in which the agency functions. Since operations objectives are the focal point for directing allocated resources, if these are neither clear nor well-conceived, resources may be misdirected.

B. Compliance objectives

These pertain to adherence to relevant laws and regulations. The requirements may relate to markets, the environment, employee welfare, and the like. Some entities will also need to comply with international compliance objectives.

C. Reporting or accountability objectives

These pertain to the reliability of reporting and may involve financial, non-financial, internal and external data. Although reporting objectives also relate to information prepared for external parties, the key objective of reliable reporting is to provide management with accurate, complete, and appropriate information for an intended purpose. Without accurate and complete information, it is very difficult for management to make good decisions.

On the other hand, reliable and relevant information, which are fairly disclosed to stakeholders through timely reports, facilitate the fulfillment of the accountability obligations of an agency or its management/personnel. More specifically, these are as regards their responsibility on decisions or actions made, including their stewardship of public resources.

D. Safeguarding of assets or resources objectives

These pertain to preventing, detecting, and correcting the misappropriation of public funds or resources. The physical assets or resources of the agency can be stolen, misused, or accidentally destroyed. The same is true with non-physical assets or resources such as accounts receivable ledgers, accountable forms, and other financial records.

Management establishes risk appetite to serve as a guidepost in setting strategy and assessing the relative importance of objectives. Effectively, risk appetite is the level of risk an agency is prepared to accept in providing value (in the form of public services) to stakeholders. Any of the number of different strategies can be designed to achieve the desired mission, each having different risks. Management should select the strategy and associated objectives that best fit in with the risk appetite.

6.1.2 Defining agency's objectives in measurable terms

By developing objectives in specific and measurable terms, the design of internal control for related risks can facilitate better understanding at all levels of the agency. This includes defining what is to be achieved, who is to achieve it, how it will be achieved, and the time frames for achievement.

Measurable objectives do not require subjective judgment and are generally considered as free of bias. These may be provided in a quantitative or qualitative form that allow reasonably consistent assessment as presented in Table 2.

Measurable Objectives	Recommended Performance Measurement
Quantitative	Targeted percentage or numerical value
Qualitative	Performance measures that indicate a level or degree of performance

Table 2: Measurable Objectives and Performance Measurement

Table 2 may be understood as follows: For quantitative objectives, performance measures may be a targeted percentage or numerical value. For qualitative objectives, management may need to develop performance measures that indicate a level or degree of performance.

6.2 Management considers internal expectations and external requirements when defining objectives.

Management considers internal expectations and external requirements when defining objectives, to facilitate the design of internal control.

Management sets internal expectations through the established standards of conduct, organizational structure, and expectations of competence as part of the control environment.

Legislators, regulators, and standard-setting bodies set external requirements by establishing the laws, regulations, and standards with which the agency is required to comply. Management identifies, understands, and incorporates these requirements into the agency's objectives, where necessary and appropriate, or relevant.

Management evaluates and, if necessary, revises defined objectives to be consistent with internal and external requirements and expectations. This consistency enables management to identify and analyze risks associated with achieving the defined objectives.

Management determines whether performance measures for the defined objectives are appropriate for evaluating the agency's performance in achieving those objectives.

6.3 Management considers the risk tolerances in the context of the agency's applicable laws, regulations, and standards.

Risk tolerance refers to the acceptable level of variation in performance relative to the achievement of objectives. Management defines the risk tolerances for specific objectives by ensuring that the levels of variation set for performance measurement are appropriate for the design of an internal control system.

Management must consider the risk tolerances in the context of the agency's applicable laws, regulations, and standards, as well as the agency's standards of conduct, oversight structure, organizational structure, and expectations of competence. If risk tolerances for defined objectives are not consistent with these requirements and expectations, management must make appropriate revisions to achieve consistency.

Operating within risk tolerances provides management greater assurance that the agency remains within its risk appetite, which, in turn, provides a higher degree of comfort that it will achieve its objectives. Depending on the category of objectives, risk tolerances may be expressed as follows:

General Objectives	Risk Tolerance
Compliance objectives	An agency is either compliant or not compliant. Concept of risk tolerance does not apply.
Operations objectives	Level of variation in performance in relation to risk.
Reporting objectives	As regards financial reports, judgements about materiality are made in light of surrounding circumstances; involve both qualitative and quantitative considerations; and are affected by the needs of users, and size or nature of a misstatement.
Safeguarding of assets objectives	Level of precision and accuracy suitable for user needs, involving both qualitative and quantitative considerations.

Table 3: Internal Control Objectives and Corresponding Risk Tolerance

7. Management identifies, evaluates, and assesses agency's risks.

One of the important components of an agency's internal control program is the process used to identify and evaluate the risks, and internal controls associated with specific functions, objectives, and assessable units.

Principal foci under this principle include the following:

7.1 Management identifies all risks that may occur (internal or external factors) at both the agency and activity levels.

The risk assessment should consider all risks that may occur (internal or external factors), at both the agency and activity levels, and the risk of fraud and corruption. It is, therefore, important that risk identification is comprehensive. Risk identification should be an ongoing and iterative process, integrated with the planning process.

It is often useful to consider risk from a “clean sheet of paper” approach, and not only relate it to the previous review. Such an approach facilitates the identification of changes in the risk profile of an agency, arising from changes in the economic and regulatory environments, internal and external operating conditions, and from the introduction of new or modified objectives.

A strategic approach to risk assessment depends on identifying risks against key organizational objectives. Risks relevant to those objectives are then considered and evaluated, resulting in a small number of key risks. Identifying key risks is not only important in order to identify the most important areas, to which resources in risk assessment should be allocated, but also in order to allocate responsibility for management of these risks.

Table 4 presents the risks categorized into groups. Risks may be categorized as strategic, operations, compliance, and financial. Mismanagement of these risks can threaten the agency, the government as a whole, or the specific processes of the government/agency.

7.1.1 Strategic risk – arises when forces in the environment could significantly “change the fundamentals” that drive government’s overall social and/or operating objectives and strategies and, in the extreme, result in failure of the government’s operations. Item “A” of Annex C shows some specific strategic risks and their corresponding risk descriptions.

7.1.2 Operations risk – risk that operations are not in order, unethical, uneconomical, inefficient, and ineffective in executing the government’s operating model, satisfying the public, and achieving the government’s quality, cost, and time performance objectives.

Strategic	Operations	Compliance	Financial
Planning and resource allocation - Organizational structure - Strategic planning - Operational Planning - Budgeting - Forecasting - Resource allocation - Capital/fund availability - Operational model - Operational portfolio - Outsourcing Major initiatives - Vision and direction - Planning and execution - Measurement and monitoring - Technology implementation - Project evaluation - Change readiness - Climate change and sustainability initiatives Environment dynamics - Economic changes - Financial market - Sovereign/political - Customer/public wants - Technological innovation - Environment scan - Agency environment/industry - Sensitivity Market dynamics - Macroeconomic factors - Lifestyle trends - Sociopolitical - Technology changes Communication and public relations - Media relations - Public relations - Crisis communications - Employee communication	Public service and operations - Customer/public satisfaction - Channel effectiveness - Cycle time - Service failure - Efficiency - Capacity - Performance measure/gap - Partnering/contracting People - Culture - Recruiting and retention - Development and performance - Succession planning - Knowledge capital - Compensation and benefits - Performance incentives - Health and safety Information technology - Security/access - Availability/continuity - Integrity - Infrastructure Hazards - Natural events - Terror and malicious acts Physical assets - Real estate - Property, plant and facilities - Inventory	Mandate - Functions Governance - Governing body/management committee performance - Tone at the top - Authority/limit - Control environment - Corporate social responsibility - Reputation Code of conduct - Ethics - Fraud - Employee/third party fraud - Illegal acts - Management fraud - Unauthorized use Legal - Contract - Liability - Intellectual property - Anti-corruption - Legal Regulatory - Trade - Customs - Procurement - Road-right-of-way (RROW) Acquisition - Labor - Securities - Environment - Data protection and privacy - International - Product/service quality - Health and safety - Competitive practice/antitrust	Market - Interest rate - Foreign currency - Commodity - Financial instrument Liquidity and credit - Cash management - Opportunity cost - Funding - Hedging - Credit and collections - Insurance Accounting and reporting - Accounting, reporting, and disclosure - Internal control - Investment evaluation - Tax strategy and planning Capital structure - Debt - Equity - Pension funds

Table 4: Risks Categorized into Groups
(Adopted from the Integrated Results and Risk Based Audit Manual, Commission on Audit)

Operations risk arises when operation processes have the following traits:

- a. Not clearly defined;
- b. Poorly aligned with agency's strategies, goals and objectives;
- c. Not performed effectively and efficiently in satisfying the public; and
- d. Expose significant financial, physical, and intellectual resources to unacceptable losses, risks, misappropriation, or misuse.

Item "B" of Annex C shows some specific operations risks and their corresponding risk descriptions.

7.1.3 Compliance risk – non-compliance with prescribed policies and procedures, or laws and regulations, resulting in lower quality output, higher execution costs, lost revenues, unnecessary delays, penalties, fines, and so on. Item "C" of Annex C shows some specific compliance risks and their corresponding risk descriptions.

7.1.4 Financial risk – risk that cash flows and financial risks are not cost managed effectively, to wit:

- a. maximize cash availability;
- b. reduce uncertainty of currency, interest rate, and other financial risks; or
- c. move cash funds quickly and without loss of value to wherever they are needed most.

It also includes the risks government agencies face when misleading financial information becomes the basis for decision-making by the governing management. Item "D" of Annex C shows some specific financial risks and their corresponding risk descriptions.

Two of the most commonly used tools are commissioning a risk review and conducting a risk self-assessment.

a. Commissioning a risk review

This is a top down procedure. A team is established to consider all the operations and activities of the agency in relation to its objectives, and to identify the associated risks. The team conducts a series of interviews with key members of staff, at all levels of the agency, to build a risk profile for the whole range of activities, thereby identifying the policy fields, activities, and functions which may be particularly vulnerable to risk (including the risk of fraud and corruption).

b. Conducting risk self- assessment

This is a bottom up approach. Each level and part of the agency is invited to review its activities and feed diagnosis of the risks faced upwards. This may be done through a documentation approach (with a framework for diagnosis set out through questionnaires) or through a facilitated workshop approach.

These two approaches are not mutually exclusive, and a combination of top down and bottom up inputs to the risk assessment process is desirable to facilitate the identification of both agency-wide and activity level risks.

7.2 Management adopts appropriate tools for the analysis and assessment of risks.

In order to decide how to handle risk, it is essential not only to identify in principle that a certain type of risk exists, but also to evaluate its significance and assess the likelihood of the risk event from occurring.

One of the key purposes of risk evaluation is to inform management about areas of risk, where action needs to be taken, and their relative priority. Therefore, it will usually be necessary to develop some framework for categorizing all risks as high, medium, or low. Generally, it is better to minimize the categories as overrefinement may lead to spurious separation of levels, which in reality cannot be separated clearly.

The methodology for analyzing risks can vary largely because many risks are difficult to quantify (e.g., reputation risks), while others lend themselves to a numerical diagnosis (particularly financial risks). For the former, a more subjective view is the logical possibility. In this sense, risk evaluation is more of an art than a science. However, the use of systematic risk rating criteria will mitigate the subjectivity of the process, by providing a framework for judgments, to be made in a consistent manner.

Assessing risks allows an agency to consider the extent to which potential events have an impact on the achievement of objectives. Management should assess events from two perspectives - impact and likelihood - using a combination of quantitative and qualitative techniques. The positive and negative impacts of events can be assessed, either individually or by category, for their impact across the agency. Risks should be assessed on both an inherent and residual basis.

Management evaluates each identified risk in terms of its impact and its likelihood of occurrence as follows:

Likelihood represents the possibility that an event will occur in a given period of time.

Impact represents the scale of the effect that the event will have on the agency's ability to achieve its objectives.

Agencies should have well-defined scales for rating risks in terms of impact, likelihood, and other dimensions. These scales comprise rating levels and definitions that foster consistent interpretation and application by different constituencies. The more descriptive the scales, the more consistent their interpretation will be by users. The trick is to find the right balance between simplicity and comprehensiveness.

Scales should allow meaningful differentiation for ranking and prioritization purposes. Five-point scales yield better dispersion than three-point scales.

Ten-point scales imply precision typically unwarranted in qualitative analysis, and assessors may waste time trying to differentiate between a

rating of six or seven, when the difference is inconsequential and indefensible.

By means of such evaluation, risks can be ranked in order to set priorities and present information for management decisions about the risks that need to be addressed (for example, those with a major potential impact and a high likelihood of the risks occurring).

The period of time over which management assesses likelihood should be consistent with the time horizon of the related strategy and objectives.

The most important risks are those with high likelihood of occurrence and high impact. Conversely, the least important risks are those with low likelihood of occurrence and low impact. The balance of management focus should be on the high probability, high impact risks. The end result of the process will be to assign each risk a rating for both its likelihood and its impact.

Assessment of Risk Appetite

An important issue in considering response to risk is the identification of the “risk appetite” of the agency. Risk appetite is the amount of risk to which the agency is prepared to be exposed before it judges an action to be necessary. Decisions about responses to risk have to be taken in conjunction with an identification of the amount of risk that can be tolerated.

Both inherent and residual risks need to be considered to determine the risk appetite. Inherent risk is the risk to an agency in the absence of any actions the management might have taken to alter either the risk’s likelihood or its impact. Residual risk is the risk that remains after management responds to the risk.

The risk appetite of an agency will vary according to the perceived importance of the risks. Identification of risk appetite is a subjective issue, but it is, nevertheless, an important stage in formulating the overall risk strategy.

7.3 Management considers the potential risks related to fraud and corruption.

Risk assessment should consider potential risks related to fraud and corruption.

All government agencies need to consider the potential for fraud to occur in their operations. Fraud refers to an unlawful interaction between two entities, where one party intentionally deceives the other, through the means of false representation in order to gain illicit and unjust advantage. It involves acts of deceit, trickery, concealment, or breach of confidence that are used to gain some unfair or dishonest advantage. Different types of fraud risk are shown in Annex D.

Fraud should be included as part of the risk assessment process but can be documented separately or in conjunction with other risks. The government agency should consider and assess the following when evaluating potential risks for fraud:

7.3.1 Types of Fraud

- a. Fraudulent financial reporting - Intentional misstatements or omissions of amounts or disclosures in financial statements to deceive financial statement users. This could include intentional alteration of accounting records, misrepresentation of transactions, or intentional misapplication of accounting principles.
- b. Misappropriation of assets - Theft of an agency's assets. This could include theft of property, embezzlement of receipts, or fraudulent payments.
- c. Corruption - Bribery and other illegal acts.

7.3.2 Other Forms of Misconduct

- a. Waste is the act of using or expending resources carelessly, extravagantly, or to no purpose.
- b. Abuse involves behavior that is deficient or improper when compared with behavior that a prudent person would consider to be reasonable and necessary in operational practice, given the facts

and circumstances. This includes the misuse of authority or position for personal gain or for the benefit of another. Waste and abuse do not necessarily involve fraud or illegal acts.

7.3.3 Fraud Risk Factors

- a. Incentive/pressure - Management and/or other personnel have an incentive or are under pressure which provides a motive to commit fraud.
- b. Opportunity - Circumstances such as the absence of controls, ineffectiveness of controls, or the ability of management to override controls exist that provide an opportunity to commit fraud.
- c. Attitude/rationalization - Individuals involved are able to rationalize committing fraud. Some individuals possess an attitude, character, or ethical values that allow them to knowingly and intentionally commit a dishonest act.

Management uses the fraud risk factors to identify fraud risks. While fraud risk may be greatest when all three risk factors are present, one or more of these factors may indicate a fraud risk. Other information provided by internal and external parties can also be used to identify fraud risks. These may include allegations of fraud or suspected fraud reported by the state audit institution/external auditors, internal auditors, personnel, oversight agencies, or external parties that interact with the agency.

Management analyzes and responds to identified fraud risks to effectively mitigate these risks. As part of analyzing fraud risks, management also assesses the risk for overridden controls. Management responds to fraud risks through the same risk response process performed for all analyzed risks.

Management designs an overall risk response and specific actions for responding to fraud risks. It may be possible to reduce or eliminate certain fraud risks by making changes to the agency's activities and processes. These changes may include stopping or reorganizing certain operations and reallocating roles among personnel to enhance segregation of duties. Moreover, management may need to develop further responses to address the risk of overridden controls.

Further, when fraud has been detected, the risk assessment process may need to be revised. In addition to fraud, management considers other forms of misconduct that can occur such as waste and abuse.

8. Management determines appropriate response to the identified, evaluated, and assessed agency's risks.

Based on the significance of the analyzed risks, responses by management may be to accept, avoid, reduce, or share them in an effort to ensure that risks are within the established tolerances for each objective. Management may need to reevaluate its risk tolerance or its responses if the program is unable to provide assurance that the objectives will be achieved.

Principal foci under this principle include the following:

8.1 Management designs appropriate response to the relevant agency's risks.

Having assessed relevant risk, management decides how it will respond. In considering its response, management assesses the effect on likelihood and impact, as well as the costs and benefits of each response with the aim of selecting a response that brings the residual risk within the desired risk tolerance.

The risk profile will be generated as a result of risk assessment. Having developed a risk profile, the agency can then consider an appropriate response.

Responses to risk can be divided into four categories. In some instances, risk can be transferred (shared), tolerated (accepted), treated (reduced), or terminated (avoided). However, in most instances, the risk will have to be treated and the agency will need to implement and maintain an effective internal control system to keep risk at an acceptable level.

Specific risk responses can be summarized as follows:

8.1.1 Sharing/Risk Transfer - Reducing the risk likelihood or its impact by transferring or otherwise sharing a portion of the risk. This may be done by conventional insurance or by paying a third party to take the risk in another way. This option is particularly useful

when mitigating financial risks, risks to assets, and risks from outsourcing activities.

However, most risks are not fully transferable. In particular, it is generally not possible to transfer reputational risk, even if the delivery of a service is contracted out.

- 8.1.2 Acceptance/Tolerance - No action is taken to mitigate risk likelihood or impact. This response suggests that no cost-effective response was identified that would reduce the impact and likelihood to an acceptable level, or that the inherent risk is already within risk tolerances. Tolerating the risk can be supplemented by contingency planning to handle the impacts that will arise if the risk occurred.
- 8.1.3 Reduction/Risk Treatment - Action is taken to reduce the risk likelihood, or its impact, or both. This typically involves a myriad of everyday agency decisions, including control procedures.
- 8.1.4 Avoidance/Terminating the Activity - Exiting the activities causing risk or aggravating the occurrence of the risk. Whilst public sector entities are rarely likely able to avoid delivering a core program element, avoidance may be a useful response when considering whether a new method of service delivery is appropriate or inappropriate, or whether to continue or discontinue with a specific project.

Management should evaluate the effects of the various methods of addressing the risk and then decide how to manage the risk by selecting a response or combination of responses, designed to bring both risk likelihood and impact within risk tolerances.

The selected response need not necessarily result in the least amount of residual risk. However, if the response would result in a residual risk that still exceeds risk tolerances, management will need to either reconsider the response or risk tolerances.

Evaluating alternative responses to inherent risk requires consideration on additional risks that may result from a response. It is helpful for senior management to consider responses from a portfolio of perspective, as this gives them an overview of the overall risk response profile and

enables them to consider whether the nature and types of residual risks remaining are those that fit with the overall mission and risk appetite.

Once management selects the preferred method of addressing the risk, it needs to develop an implementation plan. A critical part of every implementation plan is control activities to ensure that the risk response is carried out effectively.

8.2 Management identifies, analyzes, and responds to significant changes that could impact the internal control system.

Management should identify, analyze, and respond to significant changes that could impact the internal control system. As part of risk assessment or a similar process, management identifies changes that could significantly impact the agency's internal control system. Identifying, analyzing, and responding to change are similar to, if not part of, the agency's regular risk assessment process.

Conditions affecting the agency and its environment continually change. Management can anticipate and plan for significant changes by using a forward-looking process in identifying change. Management identifies, on a timely basis, significant changes to internal and external conditions that have already occurred or are expected to occur.

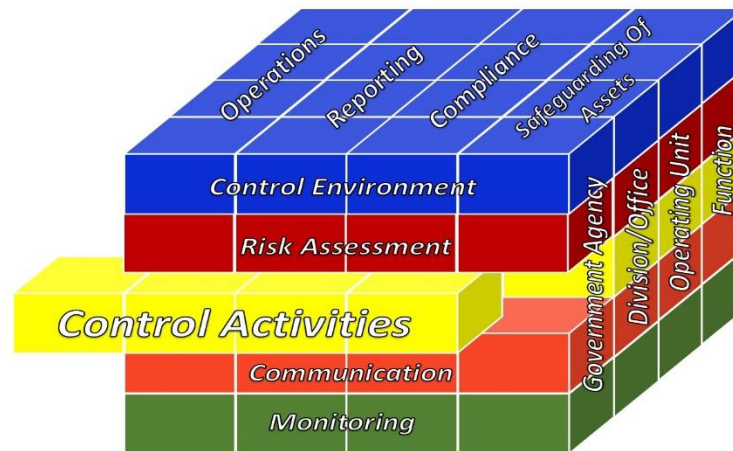
Changes in internal conditions include changes to the agency's programs or activities, oversight structure, organizational structure, personnel, and technology. Changes in external conditions include changes in the governmental, economic, technological, legal, regulatory, and physical environments. Identified significant changes are communicated across the agency, through established reporting lines, to appropriate personnel.

Aside from identifying changes, management analyzes and responds to identified changes and related risks in order to maintain an effective internal control system. Changes in conditions affecting the agency and its environment often require changes to the agency's internal control system, as existing controls may not be effective for meeting objectives or addressing risks under changed conditions.

Management analyzes the effect of identified changes on the internal control system and responds by revising the internal control system, on a timely basis or when necessary, to maintain its effectiveness.

Further, changing conditions often prompt new risks or changes to existing risks that need to be assessed. As part of analyzing and responding to change, management performs a risk assessment to identify, analyze, and respond to any new risks prompted by the changes. Additionally, existing risks may require further assessment to determine if the defined risk tolerances and risk responses need to be revised.

C. CONTROL ACTIVITIES



Control activities are the policies and procedures established to address risks and to achieve the agency's objectives. These are essential for proper stewardship and accountability of government resources.

Principles of the control activities component include the following:

9. **Management designs control activities which are appropriate, consistently functioning according to plan throughout the period, cost-effective, comprehensive, reasonable, and directly related to the control objectives.**

Management designs control activities in response to the agency's objectives and risks to ensure attainment of an effective internal control system. To be effective, control activities need to have the following traits or elements:

- a. appropriate - the right controls are in the right place and commensurate to the risk involved;
- b. consistently functioning according to plan throughout the period - the controls are complied with by all employees involved and not bypassed in the absence of key personnel;

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- c. cost-effective - the cost of implementing the control does not exceed the benefits derived; and
 - d. comprehensive, reasonable, and directly related to the control objective - the controls are complete, practicable, and directly addressing the identified control objectives.

Principal foci under this principle include the following:

- 9.1 Controls are in the right place and commensurate to the risk involved;
- 9.2 Controls are complete, practicable, and directly addressing the identified control objectives;
- 9.3 Controls are complied with by all employees involved and not bypassed in the absence of key personnel; and
- 9.4 The cost of implementing the control does not exceed the benefits derived.

10. Management develops control activities which include a range of diverse policies and procedures.

Principal foci under this principle include the following:

- 10.1 Management develops and undertakes diverse range of policies and procedures needed to address risks in achieving agency's objectives.

Control activities include a diverse range of policies and procedures which help ensure that all actions needed to address risks in achieving agency objectives are undertaken. These may include the following:

- 10.1.1 Top level reviews of actual performance

Management should review and monitor agency achievements and compare these to the established plans, goals, and objectives under the planning process.

10.1.2 Authorization and approval procedures.

Authorizing and executing transactions and events are only done by persons acting within the scope of their authority.

Authorization is the principal means of ensuring that only valid transactions and events are initiated, as intended by management. Authorization procedures, which should be documented and clearly communicated to managers and employees, should include the specific conditions and terms under which authorizations are to be made. Conforming to the terms of an authorization means that employees act in accordance with directives and within the limitations established by management or legislation.

Approval is the confirmation or sanction of employee decisions, events, or transactions based on a review. Management should determine which items require approval based on the level of risk the agency may have without such approval.

Management should clearly document its approval requirements and ensure that employees obtain approval in all situations where management has decided they are necessary.

10.1.3 Segregation of duties (authorizing, processing, recording, and reviewing)

To reduce the risk of error, waste, or wrongful acts, and the risk of not detecting such problems, no singular individual or team should control all key stages of a transaction or event. Rather, duties and responsibilities should be assigned systematically to a number of individuals to ensure that effective checks and balances exist.

Key duties include authorizing and recording transactions, processing, and reviewing or auditing transactions. Collusion, however, can reduce or destroy the effectiveness of this internal control activity. A small agency may have too few employees to fully implement this control. In such cases, management must be aware of the risks and what compensate constraints with other controls.

Rotation of employees may help ensure that one person does not deal with all the key aspects of transactions or events for an undue length of time. Also, encouraging or requiring annual holidays may help reduce risk by bringing about a temporary rotation of duties.

10.1.4 Controls over access to resources and records

Access to resources and records is limited to authorized individuals who are accountable for the custody and/or use of the resources. Accountability for custody is evidenced by the existence of receipts, inventories, or other records; by assigning custody; and by recording the transfer of custody.

Restricting access to resources reduces the risk of unauthorized use or loss to the government and helps achieve management directives. The degree of restriction depends on the vulnerability of the resource and the perceived risk of loss or improper use. It should be periodically assessed.

When determining an asset's vulnerability, its cost, portability, and exchangeability should be considered.

10.1.5 Verifications

Transactions and significant events are verified before and after processing, for example, when goods are delivered, and the number of goods supplied is verified with the number of goods ordered; and when the number of goods invoiced is verified with the number of goods received. The inventory is verified as well by performing stock-takes.

10.1.6 Reconciliations

Records are reconciled with the appropriate documents on a regular basis, for example, the accounting records relating to bank accounts are reconciled with the corresponding bank statements.

10.1.7 Reviews of operating performance

Operating performance is reviewed against a set of standards on a regular basis to assess effectiveness and efficiency. If performance reviews determine that actual accomplishments do not meet established objectives or standards, the processes and activities established to achieve the objectives should be reviewed to determine if improvements are needed.

10.1.8 Reviews of operations, processes, and activities

Operations, processes, and activities should be periodically reviewed to ensure that they are in compliance with current regulations, policies, procedures, or other requirements. This type of review of the actual operations of an agency should be clearly distinguished from the monitoring of internal control.

10.1.9 Supervision (assigning, reviewing and approving, guiding, and training)

Competent supervision helps to ensure that internal control objectives are achieved. Assigning, reviewing, and approving an employee's work encompasses the following:

- a. clearly communicating the duties, responsibilities, and accountabilities assigned to each staff member;
- b. systematically reviewing each member's work to the extent necessary; and
- c. approving work at critical points to ensure that it flows as intended.

A supervisor's delegation of work should not diminish the supervisor's accountability for his/her delegated responsibilities and duties. Supervisors also provide their employees with the necessary guidance and training to help ensure that errors, waste, and wrongful acts are minimized, and that management directives are understood and achieved.

10.1.10 Management of human capital

Management should consider human capital as an asset rather than cost. Operational success is possible only when the right personnel for the job are on board and are provided with the right trainings, tools, structure, incentives, and responsibilities.

Performance evaluation and feedback, supplemented by an effective reward system, should be designed to help employees understand the connection between their performance and the agency's success. Management should also consider how to best retain valuable employees, plan for their eventual succession, and ensure continuity of needed skills and abilities.

10.1.11 Physical controls over vulnerable assets

Management should establish physical controls to secure and safeguard vulnerable assets. These include security for, and limited access to assets such as cash, securities, inventories, and equipment, which may be vulnerable to risk of loss or unauthorized use. It is also important that these assets should be periodically counted and compared to control records.

10.1.12 Documentation

Documentation involves preserving evidence to substantiate a decision, event, transaction, or system. All documentations should be complete, accurate, and recorded timely.

Documentation should have a clear purpose and be in a usable format that will add to the efficiency and effectiveness of the agency. Examples of areas where documentation is important include critical decisions, significant events, transactions, policies, procedures, and the system of internal control.

Critical decisions and significant events usually involve senior management. These decisions and events usually result in the use, commitment, exchange, or transfer of resources such as in strategic plans, budgets, and policies. By recording the information related to such events, management creates an organizational history that can serve as justification for

subsequent actions and decisions and will be of value during self-evaluations and audits.

Documentation of transactions should allow managers to trace each transaction from its inception through its completion. This means the entire life cycle of the transaction should be recorded, including the following:

- a. initiation and authorization;
- b. progress through all stages of processing; and
- c. final classification in summary records.

Documentation of policies and procedures is critical to the daily operations of an agency. These documents set forth the fundamental framework and the underlying methods and processes to which all employees rely in doing their jobs. These provide specific direction and help form the basis for decisions made by employees.

Without this framework of understanding, conflict can occur, poor decisions can be made, and serious harm can be done to the agency's reputation. Further, the efficiency and effectiveness of operations can be adversely affected.

The documentation of an agency's system of internal control should include the agency's structure, policies, responsibility centers, control objectives, and control activities. The following guide questions may be considered in the documentation:

- a. Who is performing the control and how is he or she being held accountable, such as inclusion in position description?
- b. When does the control occurs and at what frequency?
- c. How is the control performed?
- d. What evidence exists in proving that the control was performed?

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- e. Which reports, if any, are used in the operation of the control activity?
 - f. Are policies and procedures, including details of control, active?

The various aspects of a system of internal control can be represented in narrative form such as in policy and procedure manuals, flowcharts, matrices, or a combination of the three.

10.2 Management designs control activities at the appropriate level of agency's organizational structure.

Control activities occur throughout the government agency, at all levels and in all functions. These include the three basic types of controls, namely:

- 10.2.1 Preventive Controls - are designed to prevent the adverse actions or risk from occurring. These are proactive controls that help to ensure that agency's objectives are being met. Examples are segregation of duties (authorizing, processing, recording, and reviewing); controls over access to resources and records; verification; and supervision.
- 10.2.2 Detective Controls - are designed to identify an error or adverse event after it occurred, but within a reasonable time, to permit correction. Through awareness of the error or problem, these controls help prevent other errors from occurring. Examples are reconciliation; conduct of physical inventory; and review of operating performance, processes, and activities.
- 10.2.3 Corrective Controls - are designed to help mitigate damage once a risk has materialized, and for management's attention for resolution and correction. Example is the immediate resolution on observations or findings arising from an audit or assessment/evaluation of internal controls.

Government agencies should reach an adequate balance between detective and preventive control activities. Corrective actions are necessary complement to control activities in order to achieve the objectives.

Control activities can be designed and executed in the following manner:

a) Automated control activities

These control activities can be designed and executed as either wholly or partially automated through the agency's information technology. Moreover, these activities are less susceptible to human error and are typically more efficient. Thus, they tend to be more reliable.

b) Manual control activities

These control activities are performed by individuals with minor use of the agency's information technology.

Management should design control activities at the agency level, transaction level, or both, depending on the level of precision needed to ensure achievement of objectives and address risks in the operations.

Agency-level controls are controls that have pervasive effect on the agency's internal control systems and may pertain to multiple components. Agency-level controls may include controls related to the agency's risk assessment process, control environment, management override, and monitoring.

Activity or Transaction-level controls are activities developed directly into the financial or operational processes to support the agency in achieving its objectives and addressing related risks.

Management may design a variety of transaction control activities for operational processes which may include verifications, reconciliations, authorizations and approvals, physical control activities, and supervisory control activities.

11. Management develops effective information technology control activities.

Principal foci under this principle include the following:

11.1 Management designs an effective information system and use of information technology.

Government agencies have become increasingly dependent on computerized information systems to carry out their operations and to process, maintain, and report essential information, as information technology has advanced. As a result, the reliability and security of computerized data and of the systems that process, maintain, and report these data are a major concern to both management and auditors of government agencies.

Although information systems imply specific types of control activities, information technology is not a “stand alone” control issue or tool. It is an integral part of most control activities.

The use of automated systems to process information introduces several risks that need to be considered by the agency. These risks stem from, among other things, the following:

- 11.1.1 uniform processing of transactions;
- 11.1.2 information systems automatically initiating transactions;
- 11.1.3 increased potential for undetected errors;
- 11.1.4 existence, completeness, and volume of audit trails;
- 11.1.5 the nature of the hardware and software used; and
- 11.1.6 recording unusual or non-routine transactions.

Effective information technology controls can provide management with reasonable assurance that information processed by its systems meets the desired control objectives such as ensuring the completeness, timeliness, validity of data, and preservation of its integrity.

11.2 Management designs appropriate type of control activities to help ensure complete and accurate information processing.

Information systems imply specific types of control activities that normally consist of two broad groupings, as follows:

11.2.1 General Controls

General controls are the structure, policies, and procedures that apply either to all or to a segment of an agency's information systems and help ensure their proper operation. These controls create the environment in which application systems and controls operate.

The major categories of general controls are the following:

(1) Agency-wide security program planning and management

These controls provide a framework and continuing cycle of activities for managing risk, developing security policies, assigning responsibilities, and monitoring the adequacy of the agency's computer-related controls.

Agency should have a plan that clearly describes the agency's security management program and the policies and procedures that support it, including procedures for the secured storage and disposal of sensitive information.

Agency should establish a structure to implement and manage the security program, with security responsibilities clearly defined. In addition, agencies should monitor the effectiveness of the security program and make changes as needed.

(2) Access controls

These controls limit or detect access to computer resources (data, programs, equipment, and facilities), thereby protecting these resources against unauthorized modification, loss, and disclosure.

Access controls include both physical and logical controls. These controls protect the systems from unauthorized access and use by hackers and other trespassers, and from inappropriate use by agency personnel.

Specific control activities may include the following:

- a) restrictions on users, allowing access only to the system functions they need to perform their assigned duties;
 - b) software and hardware “firewalls,” to restrict access to assets, computers, and networks by external people;
 - c) frequent changes of passwords and deactivation of former employees’ passwords;
 - d) frequent changes of dial-up numbers; and
 - e) use of dial-back access.
- (3) Controls on the development, maintenance, and change of application software

These controls prevent unauthorized programs or modifications to existing programs. Control activities should include the following:

- a) system documentation requirements;
 - b) authorizations for undertaking projects; and
 - c) reviewing, testing, and approving development and modification activities before placing systems into operation.
- (4) System software controls

These limit and monitor access to the powerful programs and sensitive files that control the computer hardware and secure applications supported by the system.

These involve controlling and monitoring of access to use, and changes made to system software, including security procedures over the acquisition, implementation, and maintenance of all systems software, database management systems, telecommunications, security software, and utility programs.

(5) Segregation of duties

This implies that policies, procedures, and organizational structure are established to prevent one individual from controlling all key aspects of computer-related operations, and thereby conducting unauthorized actions or gaining unauthorized access to assets or records.

The concept of segregation of duties in a computer environment is the same as in a manual process. Key tasks and responsibilities should be divided among various employees and sub-units of the computer operations. No singular individual should control all of the primary elements of a transaction, event, or process.

Identifying incompatible duties and implementing policies to separate those duties can be monitored through the use of access controls, as well as by implementing operating procedures, supervision, and the review of employee activities.

(6) Service continuity

This control helps to ensure that when unexpected events occur, critical operations continue without interruption; are promptly resumed; and critical and sensitive data are protected.

Service continuity is concerned with maintaining or re-establishing the activities or level of service provided by an agency in the event of a disaster or other damaging occurrence. It is critical that an agency has backup and recovery procedures, as well as contingency and disaster plans.

Data-center and client-server operation controls involve steps to prevent and minimize potential damage to hardware and software, as well as the interruption of service, through the use of data and program backup procedures. Such procedures include the following:

- a) off-site storage of backup data;
- b) environmental controls;
- c) staff training; and
- d) hardware maintenance and management.

Government agencies should develop, document, and periodically test their contingency plans.

11.2.2 Application Controls

Application controls are the structure, policies, and procedures that apply to separate individual application systems and are directly related to individual computerized applications. These controls are generally designed to prevent, detect, and correct errors and irregularities as information flows through information systems.

Application controls and the manner in which information flows through information systems can be categorized into three phases of a processing cycle, as follows:

Phases	Description
Input	data are authorized, converted to an automated form, and entered into the application in an accurate, complete, and timely manner.
Processing	data are properly processed by the computer, and files are updated correctly.
Output	files and reports generated by the application reflect transactions or events that actually occurred; reflect accurately the results of processing; and the reports are controlled and distributed to authorized users.

Table 5: Three Phases of a Processing Cycle

Application controls may also be categorized by the kinds of control objectives they relate to, including whether transactions and information are authorized, complete, accurate, and valid.

These can be further explained as follows:

- a) Authorization controls concern the validity of transactions and help ensure that transactions represent events which actually occurred during a given period.
- b) Completeness controls relate to whether all valid transactions are recorded and properly classified.
- c) Accuracy controls address whether transactions are recorded correctly and all the data elements are accurate.
- d) Controls over the integrity of processing and data files, if deficient, could nullify each of the abovementioned application controls and allow the occurrence of unauthorized transactions, as well as contribute to incomplete and inaccurate data.

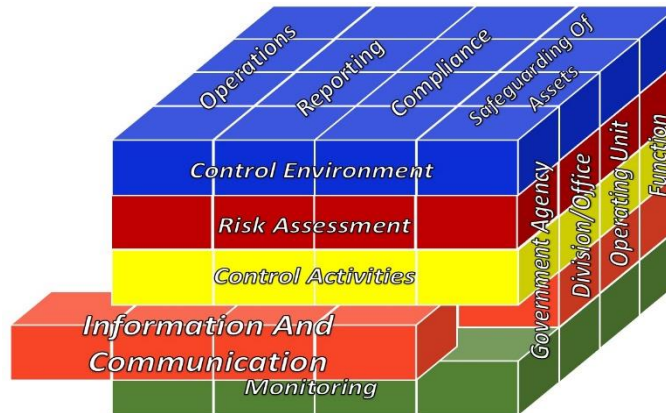
Application controls include programmed control activities such as automated edits and manual follow-up of computer-generated output such as reviews of reports identifying rejected or unusual items.

General and application controls are interrelated. Both are needed to help ensure complete and accurate information processing. Because information technology changes rapidly, the associated controls must evolve constantly to remain effective.

The effectiveness of general controls is a significant factor in determining the effectiveness of application controls. If general controls are weak, they severely diminish the reliability of controls associated with individual applications. Without effective general controls, application controls may be rendered ineffective by override, circumvention, or modification.

While the basic objectives of controls do not change, rapid changes in information technology require that controls evolve to remain effective. Changes such as the increased reliance on networking, powerful computers that place responsibility for data processing in the hands of end users, electronic commerce, and the internet will affect the nature and implementation of specific control activities.

D. INFORMATION and COMMUNICATION



Information and communication is essential to the realization of all the internal control objectives. This can be achieved by developing and maintaining reliable and relevant financial and non-financial information and communicating this information by means of a fair disclosure in timely reports.

Information and communication relating to the agency's performance will create the possibility to evaluate the orderliness, ethicality, economy, efficiency, and effectiveness of operations. In many cases, certain information has to be provided or communication has to take place in order to comply with laws and regulations.

Principles of Information and Communication are the following:

12. Management develops and maintains reliable and relevant financial and non-financial information.

Information is needed at all levels of the agency in order to have effective internal control and achieve the agency's objectives.

Principal foci under this principle include the following:

- 12.1 An array of pertinent, reliable, and relevant information should be identified.

Information is necessary for the agency to carry out internal control responsibilities to support the achievement of its objectives.

Management obtains or generates, and uses relevant and high quality information from both internal and external sources. Management also provides communication internally and externally to support the functioning of other components of internal control.

Prompt recording and proper classification of transactions and events are the two prerequisites for reliable and relevant information.

For an agency to run and control its operations, it must have relevant, valid, reliable, and timely communications relating to internal and external events. Management must obtain reliable information to determine their risks and communicate policies and other information to those who need it.

12.2 Information should be captured and communicated in a form/content and timeframe that enable people to carry out their internal control roles and other responsibilities.

Information should be communicated to management and other employees who need it, in a form/content and within a time frame that help them to carry out their responsibilities. It enables personnel to receive a clear message from senior management that control responsibilities must be taken seriously.

One of the critical communication channels is that of between management and its staff. Management must be kept up-to-date on performance, developments, risks, the functioning of internal controls, and other relevant events and issues. Similarly, management should communicate to its staff what information it needs and provide feedback and direction.

Management should also provide specific and directed communication addressing behavioral expectations. This includes a clear statement of the agency's internal control philosophy and approach, as well as delegation of authority.

12.3 Transactions and events must be promptly recorded, properly classified, and fully and clearly documented.

Transactions and events must be recorded promptly when they occur, if information is to remain relevant and valuable to management in controlling operations and making decisions.

This applies to the entire process or life cycle of a transaction or event, including the initiation and authorization in all stages while in process; its final classification in summary records; and prompt update of all documentation.

Proper classification of transactions and events is also required to ensure that reliable information is available to management. This means organizing, categorizing, and formatting information from which reports, schedules, and financial statements are prepared.

12.4 Information systems deal not only with quantitative and qualitative forms of internally generated data, but also with information about external events, activities, and conditions necessary for informed decision-making and reporting.

Information systems produce reports that contain operational, financial and non-financial, and compliance-related information that make it possible to run and control the operation. The systems deal not only with quantitative and qualitative forms of internally generated data, but also with information about external events, activities, and conditions necessary for informed decision-making and reporting.

Management's ability to make appropriate decisions is affected by the quality of information, which implies that the information has the following traits:

- a. appropriate (is the needed information there?);
- b. timely (is it there when required?);
- c. current (is it the latest available?);
- d. accurate (is it correct?); and
- e. accessible (can it be obtained easily by the relevant parties?).

In order to help ensure the quality of information and reporting, carry out the internal control activities and responsibilities, and make monitoring more effective and efficient, the internal control system as such, and all transactions and significant events, should be fully and clearly documented (e.g., flow charts and narratives). This documentation should be readily available for examination.

Documentation of the internal control system should include identification of an agency's structure, policies and operating categories, and related objectives and control procedures. An agency must have a written evidence of the components of its internal control process, including its objectives and control activities.

The extent of the documentation of an agency's internal control varies with the agency's size, complexity, and similar factors.

13. Management communicates information throughout the agency.

Internal communication is the continual and iterative process of obtaining, providing, and sharing necessary information.

Principal foci under this principle include the following:

- 13.1 Information can be communicated in a verbal, written, and/or electronic form.

Information can be communicated in different forms. While verbal communication may be sufficient for many day-to-day activities, it is best to document important information. This provides a more permanent record and enables managers and others to review the information.

- 13.2 Communication occurs in all directions – flowing down, across, and up the agency – throughout all components and the entire structure.

Information is a basis for communication which must meet the expectations of groups and individuals, enabling them to carry out their responsibilities effectively. Effective communication should occur in all directions – flowing down, across, and up the agency – throughout all components and the entire structure.

Communication should raise awareness about the importance and relevance of effective internal control, communicate the agency's risk appetite and risk tolerances, and make personnel aware of their roles and responsibilities in effecting and supporting the components of internal control.

14. Management communicates information with external parties.

In addition to internal communications, management should ensure there are adequate means of communicating with, and obtaining information from external parties, as external communications can provide input that may have a highly significant impact on the extent to which the agency achieves its goals.

Principal foci under this principle include the following:

14.1 Management provides adequate means of communicating with, and obtaining information from external parties.

When external lines of communication are compromised, laws and regulations may require separate lines of communication to be established, such as whistleblower and/or ethics hotlines, in order to keep information confidential.

14.2 Management establishes separate reporting line, where it is necessary.

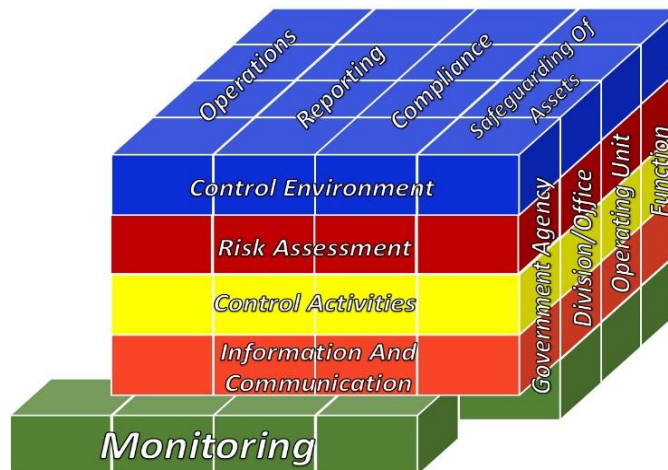
Management should establish separate reporting lines to facilitate the following:

- a. use of whistleblower and ethics hotlines for communicating confidential information;
- b. inform external parties of the separate reporting lines;
- c. educate the public and employees as to how reporting lines operate;
- d. convey how reporting lines are to be used; and
- e. instruct how the information will remain confidential.

-
- 14.3 Agency's method of communication considers the audience to be reached, the nature and availability of the information, the cost, and the legal or regulatory requirements.

The method of communication includes consideration of several factors, such as the audience to be reached, the nature and availability of the information, the cost, and the legal or regulatory requirements. The communication can be conducted via hard copy or electronic documents, face-to-face meetings, or both. Based on the input from internal and external communications, management should take necessary action and perform timely follow-up procedures.

E. MONITORING



Monitoring refers to the process that assesses the quality of the internal control system's performance over time. Monitoring internal control is aimed at ensuring that controls are operating as intended, and that they are modified appropriately for changes in conditions. Monitoring should also assess if, in pursuit of the agency's mission, the general objectives set out in the definition of internal control are being achieved.

Management must build ongoing monitoring activities into the normal recurring activities of their operation and monitor the internal control system on an ongoing basis. These are to ensure that the system continues to be relevant, addresses new risks, and ensure that the findings of audits and other reviews are promptly resolved. Monitoring the internal control activities themselves should be clearly distinguished from reviewing an agency's operations, which is an internal control activity.

Principles of the monitoring component include the following:

15. Management establishes and operates activities to monitor the internal control system, and evaluates the results.

Monitoring internal control is aimed at ensuring that controls are operating as intended.

Principal foci under this principle include the following:

15.1 Management establishes a baseline to monitor the internal control system.

The baseline refers to the state or condition (consists of issues and deficiencies identified) of the internal control system compared against its design. It represents the difference between the criteria of the design of the internal control system and its condition at a specific point in time.

Management can use the baseline in evaluating the internal control system once established. Management may modify this to better address the agency's objectives and risks or improve the operating effectiveness of the internal control system.

15.2 Management considers ongoing monitoring activities, separate evaluations, or a combination of both in the conduct of assessment.

Monitoring of activities can be accomplished through ongoing monitoring activities, separate evaluations, or a combination of both. These activities help ensure that internal control continues to be applied at all levels and across the agency, and that internal control achieves the desired results.

A. Ongoing monitoring of internal control

Ongoing monitoring of internal control is built into the normal, recurring operating activities of an agency. It includes regular management and supervisory activities and other actions personnel take in performing their duties.

Ongoing monitoring of internal control occurs in the course of normal, recurring operations of an agency. It is performed continually and on a real-time basis. It reacts dynamically to changing conditions and is ingrained in the agency's operations. As a result, it is more effective than separate evaluations, and corrective actions are potentially less costly. Since separate evaluations take place after the fact, problem will often be identified more quickly by ongoing monitoring routines.

Monitoring activities of the agency focus on the major areas of each component of internal controls' action against inefficient and ineffective internal control systems/procedures. It is the responsibility

of all management and staff within the agency to perform such activities. Everyone has different focus and level of responsibility for monitoring, as follows:

- a. Staff - focus on monitoring their own work to ensure it is being done properly, and correct the errors they identify before these are referred to higher levels for review.
- b. Supervisors/Mid-Level Managers - focus on the monitoring of all activities and transactions in their unit to attain the following:
 - 1. ensure that staff are performing their assigned responsibilities;
 - 2. control activities are properly functioning;
 - 3. the unit is accomplishing its goals;
 - 4. the unit's control environment is appropriate;
 - 5. communication is open and sufficient; and
 - 6. risks and opportunities are identified and properly addressed.
- c. Head of agency - focuses monitoring activities on the major divisions of the agency; monitors the existence of risks and opportunities in either the internal or external environment which may indicate the need for a change in the agency's plans; and places more emphasis on monitoring the achievement of the agency's goals.

B. Separate evaluations of internal controls

The assessment of risks and the effectiveness of ongoing monitoring procedures are two variables used in determining the scope and frequency of separate evaluations.

When making the determination, the agency should consider the nature and degree of changes, from both internal and external events, and their associated risks; the competence and experience of the

personnel employing risk responses and related controls; and the results of the ongoing monitoring.

Separate evaluations of control can also be useful by focusing directly on the controls' effectiveness at a specific time. Separate evaluations may take the form of self-assessments, a review of control design, and direct testing of internal control. Separate evaluations also may be performed by external or internal auditors.

The evaluation of the effectiveness of the internal control system and other review activities, to ensure that internal control achieves the desired results based on predefined methods and procedures, are the coverage of specific separate evaluations. Internal control deficiencies should be reported to the appropriate level of management.

16. Management takes appropriate actions on the findings and recommendations of audit and other reviews.

All deficiencies found during ongoing monitoring or through separate evaluations should be communicated to those positioned to take necessary action.

The term "deficiency" refers to a condition that affects an agency's ability to achieve its general objectives. A deficiency, therefore, may represent a perceived, potential or real shortcoming, or an opportunity to strengthen internal control to increase the likelihood that the agency's general objectives will be achieved.

Principal foci under this principle include the following:

16.1 Deficiencies noted during ongoing monitoring or through separate evaluations are communicated to those positioned to take necessary action.

Protocols should be established to identify what information is needed, at a particular level, for effective decision making. Providing needed information on internal control deficiencies to the right party is critical. As a general rule, such protocols reflect that a manager should receive information that affects the actions or behavior of personnel under his or

her responsibility, as well as information needed to achieve specific objectives.

Information generated in the course of operations is usually reported through normal channels, that is, to the individual responsible for the function and to at least one higher level of management above that individual. However, alternative communication channels should also exist for reporting sensitive information such as illegal or improper acts.

16.2 The findings and recommendations of audits and other reviews are adequately and promptly resolved.

Monitoring internal control includes policies and procedures aimed to ensure that the findings of audits and other reviews are adequately and promptly resolved. Personnel concerned are to execute the following courses of action:

1. promptly evaluate findings from audits and other reviews including those showing deficiencies and recommendations reported by auditors and others who evaluate the agencies' operations;
2. identify proper actions in response to the findings and recommendations from audits and reviews; and
3. complete, within established time frames, all actions that correct or otherwise resolve the matters brought to their attention.

The resolution process generally starts when audit or other review results are reported to management. It is only completed after an action has been taken that corrects the identified deficiencies and produces improvements.

PART V – LEVELS OF AGENCY STRUCTURE

Management and personnel at every level should be involved in the internal control process that addresses risks and provides assurance regarding the achievement of the agency's mission and general objectives.

The levels of the agency's structure, where internal control operates, are as follows:

- A. Government Agency refers to any of the various units of the government, including a department, commission, bureau, office, instrumentality, government-owned or -controlled corporations and its subsidiaries, any self-governing board or commission of the government, a local government unit or a distinct unit therein, and any other entity or instrumentality of the government.
- B. Division/Office refers to any major functional unit, within the framework of a government agency, where functions are defined by law or regulation.
- C. Operating Unit refers to a government institution/unit charged with carrying out specific substantive functions or which directly implements program, activity, and project of a government agency.
- D. Function refers to the program, project, activity, or process in the government agency.

Every level of the agency has the responsibility in ensuring that internal controls are established, properly documented, and maintained.



Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

RESOLUTION

No. : 2018-007
Date : FEB 01 2019

SUBJECT : Adoption of the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and Internal Control Standards for the Philippine Public Sector (ICSPPS) in all government agencies

WHEREAS, Section 2(2), Article IX-D of the 1987 Constitution vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations;

WHEREAS, Section 2(1), Article IX-D of the 1987 Constitution provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate to correct deficiencies;

WHEREAS, Items 3 and 4 of Section 25, Chapter 2 of Presidential Decree No. 1445, also known as the Government Auditing Code of the Philippines, mandate the COA to institute control measures and promulgate auditing rules and regulations;

WHEREAS, Section 4 of Republic Act No. 3456, or the Internal Auditing Act of 1962, approved on June 16, 1962, as amended by Republic Act No. 4177, provides that the Auditor General shall be responsible for the promulgation and enforcement of general policies, rules and regulations on internal auditing; and shall also develop for execution, working plans and training programs to maintain continuously the effectiveness of these internal audit services;

WHEREAS, Goal B of the COA Strategic Plan for 2016-2022 states that the Commission shall empower and enable government agencies through strengthening the Internal Control System and assisting in the effective implementation of internal audit services;

WHEREAS, COA Office Order No. 2016-301 dated April 13, 2016 created the Internal Auditing Research and Development Committee (IARDC) to develop the Internal Control Framework and the Philippine Internal Auditing Standards (PIAS);

WHEREAS, in COA Resolution No. 2016-016 dated September 30, 2016, this Commission resolved to adopt the Philippine Internal Auditing and Philippine Internal Control Frameworks for Public Sector to provide authoritative guidance essential for the professional practice of internal auditing and the criteria for establishing and evaluating internal controls;

WHEREAS, the Government Accounting and Auditing Manual Volume III containing the Internal Auditing Standards and The Handbook on the Internal Control Structure issued by

this Commission in 1991 and 2002, respectively, need to be updated to keep abreast with the new developments in internal controls and the practice of internal auditing;

WHEREAS, after study and review of the provisions of the International Organization of Supreme Audit Institutions Guidance for Good Governance (INTOSAI GOV), Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework (ICIF), National Guidelines on Internal Control System (NGICS), Philippine Government Internal Audit Manual (PGIAM), International Professional Practices Framework (IPPF) promulgated by the Institute of Internal Auditors (IIA), and other relevant laws, rules and regulations, the IARDC developed the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and the Internal Control Standards for the Philippine Public Sector (ICSPPS);

WHEREAS, the IASPPS, as aligned with the prevailing international principles and standards, provides authoritative guidance essential for the professional practice of internal auditing, thereby enhancing the quality and uniformity in internal auditing practices by Philippine government agencies;

WHEREAS, the ICSPPS provides the criteria for establishing, implementing, monitoring, and evaluating internal controls that will enable Philippine government agencies to achieve their objectives on operations, reporting, compliance, and safeguarding of assets;

NOW, THEREFORE, this Commission resolves as it is hereby resolved, to adopt the IASPPS and ICSPPS in Annexes A and B, respectively, attached to this Resolution and made integral parts hereof.

This Resolution shall take effect on February 1, 2018.

Done this 1st day of February, 2018 at Quezon City, Philippines.



MICHAEL G. AGUINALDO
Chairperson

JOSE A. FABIA
Commissioner

ISABEL D. AGITO
Commissioner

ANNEX B

Principles, Principal Foci, and Attributes of Internal Controls

Principles are required in supporting an effective design, implementation, and operation of the components. **Principal foci** act as additional information and may contain examples to further explain what a requirement means and what it intends to cover. **Attributes** of principal foci are points intended to help users consider specific items that indicate the degree to which internal control is functioning and are used when addressing the principal focus. Below is the summary of the principles, principal foci, and attributes of internal controls:

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
1. Management demonstrates personal and professional integrity and ethical values.	1.1 Management should establish and communicate the integrity and ethical values of the agency.	• Management's actions influence others to behave and respond in ways that are deemed valuable and appropriate to their agency's outcomes. • Management promotes the primacy of public interest in the performance of duties. • Management develops, regularly reviews, and updates manual that addresses expectations regarding agency's practices and ethical behaviors; disciplinary policies and procedures; and methods of reporting fraud, other misconduct, etc. • Management's commitment to integrity and ethical behavior is communicated effectively throughout the agency, both in words and deeds. This may be achieved through oral communications in meetings, via one-on-one discussions, and by example in day-to-day activities.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		• Management and staff are familiar with the importance of high ethics and controls. • Existing and new employees are provided with the code of ethics/conduct. • There are appropriate policies regarding agency's practices, conflicts of interest, and code of conduct that are established and communicated. • The agency conducts value development programs for its officials and employees in order to strengthen their commitment to the public. • The following subjects, among others, are included in the agency's programs and other parallel efforts on value development: a. Ethical and moral values; b. Rights, duties, and responsibilities of public servants; and c. Socio-economic conditions prevailing in the country.
	1.2 Management and staff should exhibit a supportive attitude toward internal control at all times throughout the agency.	• The head of agency or the governing body shows concern for integrity and ethical values. • The agency adopts innovative programs and continually conducts experimentation/research on measures to motivate officials and employees in raising the level of observance of public ethical standards.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		There is a mechanism in place to regularly educate and communicate to management and employees the importance of internal controls, and to raise their level of understanding of controls.
	1.3 Every officer and employee in the agency should maintain and demonstrate personal and professional integrity and ethical values, and has to comply with the applicable code of conduct at all times.	- Management acts to remove or reduce incentives, opportunities, or temptations that may prompt personnel to engage in dishonest, illegal, or unethical acts. - Coverage of ethical dilemmas, ethical failures, and ethical successes are included in the agency's newsletter, bulletin, or other printed forms. - All employees are aware that all forms of fraudulent acts against the agency will result in administrative and criminal investigations. - The agency conducts continuing refresher courses, seminars, and/or workshops to promote high standards of ethics in the public service. - There is a committee or officer designated to conduct investigation over disciplinary matters. - The agency promulgates rules and regulations governing expeditious, fair, and equitable adjudgment of employees' complaints or grievances in accordance with the policies enunciated by the Civil Service Commission (CSC).

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		The head of agency or the governing body ensures that the policy on fiscal responsibility is faithfully adhered to in all the financial affairs, transactions, and operations of the agency.
2. Management sets the "tone at the top."	2.1 The "tone at the top" should reflect management's commitment, involvement, and support toward internal controls in the agency.	- Management creates an internal audit service as part of the internal control system. - Management provides sufficient resources to carry out internal controls. - Management leads by example with respect to good governance, risk management, and internal controls. - Management sets a good example through its own actions and its conduct, reflecting what is proper rather what is acceptable or convenient. - Values of the agency and creation of roles and responsibilities with respect to good governance, risk management, and internal controls are communicated from the top as key values of the agency. - Management commits to provide appropriate attention to internal controls, including the effects of information systems processing. - The head of agency or the governing body gives adequate consideration to understanding management's processes for monitoring risks affecting the agency.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		- The head of agency or the governing body represents an informed, vigilant, and effective overseer of the financial reporting process and the agency's internal control, including information systems processing and related computer controls. - The agency implements the government-wide Quality Management Program. - Management shows a positive and supportive attitude toward the functions of accounting, information management systems, personnel operations, monitoring, and internal and external audits and evaluations.
	2.2 The code of conduct, counselling, and performance appraisals should support the internal control objectives and, in particular, the objective of "ethical operations."	- The head of agency ensures that officials and employees attend value development programs and participate in parallel value development efforts. - The head of agency or the governing body ensures adherence to the principle that public office is a public trust. - A code of conduct/ethics can support and enable the desired types of employee behavior and point out the consequences of violating the principles of the code. - Management continually reinforces its principles in word and deed, with training programs, model behavior, and by taking appropriate actions in response to violations.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		The agency establishes performance evaluation system.
	2.3 Agency's policies, procedures, and practices should promote orderly, ethical, economical, efficient, and effective conduct of operations.	- There are control features interwoven into, and making an integral part of each system in the agency that management can use to regulate and guide its operations. - The agency adopts and implements control policies and measures on the following: - delegation of authority and supervision; - segregation of functions for processing, reviewing, recording, custody, and approval; - access to resources and records; - completeness and integrity of transaction documents and reports; - verification of transactions; and - reconciliation of records and data. - The agency takes appropriate measures to promote transparency and accountability in the management of public finances. - The design and implementation of an agency's quality management system are influenced by the following: - organizational environment;

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		b. changes in that environment and the risks associated with that environment; c. varying needs; d. particular objectives; e. services it provide; f. processes it employ; and g. size and organizational structure. • Management's development of accounting estimates tends to be conservative and is consistent with objective and fair reporting. • Manuals of procedures are in use. • The agency has written policies on, but not limited to, the following: a. delegation or assumption of duties when an employee is absent; b. annual vacations for all staff; c. obtaining background or reference for new staff; d. training programs for employees; and e. rotation of employees. • The agency requires designated official/s to regularly monitor or review compliance with the requirements of loan contracts, trust agreements, and similar contracts. • The agency complies with the policies, standards, and guidelines promulgated by the CSC to promote economical, efficient, and effective personnel administration in the government.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
	2.4 Personnel should be reminded periodically of their obligations under an operative code of conduct issued by the management.	- All employees are provided with updated code of ethics/conducts, at least yearly, and receive periodic training on the application of the code. - All personnel are aware that the agency's control environment is within the framework of public service accountability, where government, its partners, and agents assume fiduciary responsibilities toward the public they serve.
	2.5 Overall performance appraisals should be based on an assessment of many critical factors, including the employees' role in effecting internal control.	- Management sets realistic (i.e., not unduly aggressive) financial targets and expectations for operating personnel. - The agency's operating units are able to achieve the expected results and contribute to the achievement of its sectoral or societal goals. - The agency establishes its Performance Evaluation System (PES) or other applicable tools based on an objectively measured output and the performance of personnel and units, such as the Performance Management System-Office Performance Evaluation System developed by the CSC. - The head of agency or the governing body has evaluated on a continuing basis the quantitative and qualitative measures of its performance as reflected in the units of work measurement and other indicators of agency performance, including the

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		standard and actual costs per unit of work.
3. Management establishes an appropriate government organizational structure.	3.1 The organizational structure should clearly define key areas of authority and responsibility, and establish appropriate lines of reporting.	- The organizational structure is appropriately centralized or decentralized given the nature of its operations, and management has clearly articulated the considerations and factors taken into account in balancing the degree of centralization versus decentralization. - Key areas of authority and responsibility are defined and communicated throughout the agency. - Reporting relationships have been established and have effectively provided officers or personnel concerned with the information they need to carry out their responsibilities and perform their jobs. - Management periodically evaluates the organizational structure and makes changes, as necessary, in response to changing conditions. - Job descriptions and performance evaluations contain specific references to internal control-related duties, responsibilities, and accountability.
	3.2 Management should develop and communicate policies to employees to ensure that they understand or are aware of the following:	- Authority and responsibility are clearly defined throughout the agency and are clearly communicated to all employees. - There are written job descriptions, reference manuals, or other forms

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
	3.2.1 their duties and responsibilities; 3.2.2 how their individual actions interrelate and contribute to the agency's objectives; 3.2.3 the authority they are delegated; and 3.2.4 how and for what they will be held accountable.	of communication to inform personnel of their duties. • Job descriptions clearly indicate the degree of authority and accountability delegated to each position and the responsibilities assigned. • There are adequate policies and procedures for authorization and approval of transactions at the appropriate level. • The head of agency or the governing body: a. promulgates administrative issuances necessary for the efficient administration of the offices under them and for the proper execution of the laws relative thereto; b. exercises disciplinary powers over officers and employees under them in accordance with law; c. appoints all officers and employees of the agency (except those whose appointments are vested in the President or in some other appointing authority); and d. delegates authority to officers and employees in accordance with EO No. 292 or the law creating the agency. • The authority and responsibility for the agency's operations, as may be necessary to implement the plans and programs, are

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		adequately delegated by the head of agency or the governing body to the bureau and regional directors, or their equivalent. a. The delegation is in writing; b. It has indicated to which officer or class of officers or employees the delegation is made; and c. It has vested sufficient authority to enable the delegatee to discharge his assigned responsibility. • Assignment of responsibilities is clear, including responsibilities for information system processing and program development. • There is an appropriate structure for assigning ownership of data, including who is authorized to initiate and/or change transactions. Ownership is assigned for each application and database within the IT infrastructure. • There is an appropriate segregation of incompatible activities (i.e., separation of accounting for, and access to assets).
	3.3 Management should develop and maintain documentation of its internal control system to facilitate the establishment and communication of the <i>who, what, where</i> , and	• Job descriptions and performance evaluations contain specific references to internal control-related duties, responsibilities, and accountability. • Levels of authority and responsibility are documented by

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
	<i>why</i> of internal control execution.	way of written policy and, more generally, through the agency's organizational chart. Employee job descriptions clearly document the authority level of each employee.
4. Management exhibits commitment to competence.	4.1 Management should establish policies and procedures in hiring staff with the necessary skills and knowledge.	- Existing policies and procedures have resulted in recruiting and developing competent and trustworthy people, necessary to support an effective internal control structure. - The agency establishes, administers, and maintains qualification standards. - The establishment, administration, and maintenance of qualification standards are with the assistance and approval of the CSC. - The degree of qualifications of an officer or employee is determined based on the qualification standards of a particular position. - The qualification standards express the minimum requirements for a position in terms of education, training and experience, civil service eligibility, physical fitness, and other qualities required for successful performance.
	4.2 Management should establish policies and procedures that current staff receives adequate ongoing training, mentoring, and supervision.	Personnel have sufficient competence and training necessary for their assigned level of responsibility or the nature and complexity of the agency's mandate.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
	4.3 Management should establish policies and procedures in determining the level of knowledge and skill needed to help ensure orderly, ethical, economical, efficient and effective performance, as well as a good understanding of individual responsibilities with respect to internal control.	• Job performance is periodically evaluated and reviewed with each employee.
	4.4 Management should have defined succession and contingency plans for key roles in the agency so it can continue to achieve its objectives, whether there are sudden personnel changes or just the need for training personnel for the long-term replacement of critical positions.	• Management develops a manual that addresses continuity plan for succession and contingencies. • Management establishes criteria for employee retention and considers the effect to operations if a large number of employees are expected to leave or retire in a given period. • Management develops contingency plans to ensure that candidates for succession are trained for assuming the target role so that internal controls will not lapse.
5. Management establishes human resource policies and practices.	5.1 Management should establish human resource policies and practices, incorporating the methods by which people are hired, trained, evaluated, compensated, and promoted.	• Policies and procedures are clear and these are issued, updated, and revised on a timely basis. They are effectively communicated to personnel at decentralized and/or foreign locations. • The mission, goals, and objectives of the agency are clearly communicated to all personnel.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		Background checks are conducted on candidates for employment.
	5.2 Hiring and staffing decisions should exemplify assurance that individuals recruited have the integrity, proper education, and experience required to carry out their jobs; and that the necessary formal, on-the-job, and ethics trainings are provided.	- There are trainings/orientations for new employees, or current employees when starting a new position, to discuss the nature and scope of their duties and responsibilities. Such trainings/orientations include a discussion of specific internal controls they are responsible for. - Management demonstrates commitment to provide personnel with sufficient accounting and financial training, to keep pace with the growth and/or complexity of the agency. - Employees receive guidance, review, and on-the-job training from supervisors to help ensure proper work flow and processing of transactions and events, reduce misunderstandings, and discourage wrongful acts.
	5.3 Management should enforce transparency in recruitment, performance appraisal, and promotion processes.	- Openness of the selection processes should be secured, by publishing both the recruitment rules and vacant positions, to help realize ethical human resource management. - There are screening procedures for job applicants. - Management formulates and enforces a system of measuring and evaluating periodically and objectively the performance of the agency, and submits the same annually to the required authority.

CONTROL ENVIRONMENT		
Principles	Principal Foci	Attributes*
		• Management provides appropriate bases for compensation, promotion, and fair incentives to help ensure integrity and adherence to ethical values.

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RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
6. Management identifies and defines objectives and risk tolerance in specific and measurable terms.	6.1 Management defines objectives in specific and measurable terms.	• Agency objectives are established, communicated, and monitored. • The key elements of the agency's strategic plan are communicated throughout the agency. • All employees have a basic understanding of the agency's overall strategy, strategic plan, and objectives.
	6.2 Management considers internal expectations and external requirements when defining objectives.	• In establishing the internal context, the agency considers an understanding of the following: a. capabilities of the agency in terms of resources and knowledge; b. information flows and decision-making processes; c. internal stakeholders; d. objectives and the strategies that are in place to achieve them; e. perceptions, values, and culture;

RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
		f. policies and processes; g. standards and reference models adopted by the agency; and h. structures.
	6.3 Management considers the risk tolerances in the context of the agency's applicable laws, regulations, and standards.	• Management considers how much risk it is willing to accept when setting strategic direction and strives to maintain risk within those levels. • Management has a risk assessment framework in place. • The agency's risk assessment is fully integrated into the other components of risk management process, which includes the following: a. communication and consultation; b. establishing the context; c. risk assessment (comprising risk identification, risk analysis, and risk evaluation); d. risk treatment; and e. monitoring and review.
7. Management identifies, evaluates, and assesses agency's risks.	7.1 Management identifies all risks that may occur (internal or external factors) at both the agency and activity levels.	• Management identifies the causes and sources of the risk (hazard in the context of physical harm), events, situations, or circumstances which can have a material impact upon objectives and the nature of that impact. • Management identifies the likelihood of the risks happening and the impact or consequence when these happen. • Management reviews the risk assessment and considers

RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
		actions to mitigate the significant risks identified. • Management considers the presence (or absence) and the effectiveness of any existing controls in determining the risk's consequences and probabilities. • In establishing the external context, Management considers familiarization with the environment in which the agency and the system operates, including the following: a. cultural, political, legal, regulatory, financial, economic, and competitive environment factors whether international, national, regional, or local; b. key drivers and trends having impact on the objectives of the agency; and c. perceptions and values of external stakeholders. • Internal audit service (or another group within the agency) performs periodic (at least annual) risk assessment.
	7.2 Management adopts appropriate tools for the analysis and assessment of risks.	• Management develops an adequate mechanism for identifying operations risks, including those resulting from the following: a. entering new programs or lines of operation; b. offering new products and services; c. privacy and data protection compliance requirements; and

RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
		d. other changes in the agency, economic, and regulatory environment. Management performs periodic review to anticipate and identify routine events or activities that may affect the agency's ability to achieve its objectives and address them.
	7.3 Management considers the potential risks related to fraud and corruption.	- Management designs an overall risk response and specific actions for responding to fraud risks. - Management includes fraud risk management programs as part of the agency's governance structure. - Management assesses fraud risk exposure periodically to identify specific potential schemes and events that the agency needs to mitigate. - Management establishes prevention mechanisms and techniques to avoid potential key fraud risk events and, where feasible, to mitigate possible impacts on the agency. - Management establishes detection techniques to uncover fraud events when preventive measures fail or unmitigated risks are realized. - Management establishes a reporting process to solicit input on potential fraud, and a coordinated approach to investigation and corrective action should be used to help ensure

RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
		potential fraud is addressed appropriately and timely. There are processes to ensure that accounting department is aware of significant transactions with related parties, so it can determine if such transactions are appropriately accounted for and disclosed.
8. Management determines appropriate response to the identified, evaluated, and assessed agency's risks.	8.1 Management designs appropriate response to the relevant agency's risks.	The head of agency or governing body oversees and monitors the risk assessment process and takes action to address the significant risks identified.
	8.2 Management identifies, analyzes, and responds to significant changes that could impact the internal control system.	- The accounting department has a process for identifying and addressing changes in PPSAS/PFRS, as well as for approving changes in accounting principles and policies. - There are groups or individuals who are responsible for anticipating or identifying changes with possible significant effects on the agency. - There are processes in place to inform appropriate levels of management about changes with possible significant effects on the agency. - Management reports to the head of agency or the governing body on changes that may have a significant effect on the agency. - There are processes to ensure that the accounting department is aware of changes in the operating environment, so it can review the

RISK ASSESSMENT		
Principles	Principal Foci	Attributes*
		changes and determine what, if any, effect the change may have on the agency's accounting practices. • There are channels of communication between the accounting department and/or individual(s) in charge of monitoring regulatory rules, so the accounting department is aware of regulatory changes that could affect the agency's accounting practices. • The head of agency or the governing body reviews and approves significant changes in the agency's accounting practices. • Management works with the agency's independent auditors or other third party experts to determine if it is addressing complex changes in PPSAS/ PFRS appropriately. • Budgets/forecasts are updated during the year to reflect changing conditions.

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CONTROL ACTIVITIES		
Principles	Principal Foci	Attributes*
9. Management designs control activities which are appropriate, consistently	9.1 Controls are in the right place and commensurate to the risk involved.	• Management establishes policies and procedures to address risks and to achieve the agency's objectives.

CONTROL ACTIVITIES		
Principles	Principal Foci	Attributes*
functioning according to plan throughout the period, cost-effective, comprehensive, reasonable, and directly related to the control objectives.		- Management identifies all relevant objectives and associated risks for each significant activity, in conjunction with conducting the risk assessment and analysis function. - Management identifies the actions and control activities needed to address the risks and directs their implementation.
	9.2 Controls are complete, practicable, and directly addressing the identified control objectives.	Management establishes control activities pertaining to top-level management review, human resources management, information systems management, physical asset management, and performance measurement.
	9.3 Controls are complied with by all employees involved and not bypassed in the absence of key personnel.	- Management establishes policies to ensure that duties are logically divided or segregated (whether manually or through appropriate set up of information technology [IT] applications) among different people to reduce the risk of fraud or inappropriate actions. - The organizational charts and written job descriptions adequately define the lines of authority, duties, and accountability of all personnel. - The IT organizational chart clearly reflects areas of responsibility and lines of reporting and communication.
	9.4 The cost of implementing the control does not exceed the benefits derived.	Management sets clear objectives in terms of budget and other financial and operating goals. These objectives are clearly written and communicated throughout the

CONTROL ACTIVITIES		
Principles	Principal Foci	Attributes*
		agency, and are actively monitored.
10. Management develops control activities which include a range of diverse policies and procedures.	10.1 Management develops and undertakes diverse range of policies and procedures needed to address risks in achieving agency's objectives.	- Management develops policies, and procedures including the following: - top level reviews and performance; - authorization and approval procedures; - segregation of duties; - control over access to resources and records; - verifications; - reconciliations; - reviews of operations, processes and activities; - management of human capital; - establishments of controls for physical assets and vulnerable assets; and - documentations.
	10.2 Management designs control activities at the appropriate level of agency's organizational structure.	- There is an appropriate segregation of incompatible activities (e.g., separation of accounting functions from access to assets; IT operation functions separate from systems and programming; and database administration function separate from applications and systems programming). - Management designs its control activities at the agency level, transaction level, or both, depending on the level of precision needed to ensure achievement of objectives and address risks in the operations.

CONTROL ACTIVITIES		
Principles	Principal Foci	Attributes*
		Management designs a variety of transaction control activities for operational processes which include verifications, reconciliations, authorizations and approvals, physical control activities, and supervisory control activities.
11. Management develops effective information technology control activities.	11.1 Management designs an effective information system and use of information technology.	Management designs appropriate general and application controls to ensure proper operations of agency's information systems.
	11.2 Management designs appropriate type of control activities to help ensure complete and accurate information processing.	- Management creates a plan and establishes a structure that clearly describes the agency's security management program and policies, and the procedures that support it, including procedures for the secured storage and disposal of sensitive information. - Management designs controls that limit or detect access to computer resources (data, programs, equipment, and facilities) to safeguard against loss, unauthorized modification, and disclosure. - Management designs controls that prevent unauthorized programs or modifications to existing programs. - Management designs controls that limit and monitor access to the powerful programs and sensitive files that control the computer hardware and secure applications supported by the system. - Management establishes policies, procedures, and organizational structure to prevent one individual

CONTROL ACTIVITIES		
Principles	Principal Foci	Attributes*
		from controlling all key aspects of computer-related operations, and thereby conducting unauthorized actions or gaining unauthorized access to assets or records. • Management designs a service continuity plan to ensure that when unexpected events occur, critical operations continue without interruption; are promptly resumed; and critical and sensitive data are protected. • Management designs application controls that ensure data to be considered are authorized, converted to an automated form, and entered into the application in an accurate, complete, and timely manner. • Management designs application controls that ensure data are properly processed by the computer, and files are updated correctly. • Management designs controls that ensure files and reports generated by the application reflect transactions or events that actually occurred; reflect accurately the results of processing; and the reports are controlled and distributed to the authorized users.

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INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
12. Management develops and maintains reliable and relevant financial and non-financial information.	12.1 An array of pertinent, reliable, and relevant information should be identified.	• Management obtains and identifies internally generated information, critical to achieving the agency's objectives, including information relative to critical success factors. • Management obtains and communicates to all, any relevant external information that may affect the achievement of its missions, goals, and objectives. • Agency is able to prepare accurate and timely financial reports, including interim reports.
	12.2 Information should be captured and communicated in a form/content and timeframe that enable people to carry out their internal control roles and other responsibilities.	• Relevant information are identified, captured, and communicated in a form/content and timeframe that enable personnel to carry out internal controls and other responsibilities. • Management's objectives in terms of budget and other financial and operating goals are defined and measurable. • Management uses communication methods which may include policy and procedure manuals, management directives, memoranda, bulletin board notices, internet and intranet web pages, videotaped messages, e-mails, and speeches. • Management obtains information that is summarized and presented appropriately, and provides pertinent information while

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
		permitting a closer inspection of details as needed. • Management develops a mechanism that ensures information will be available on a timely basis to allow effective monitoring of events, activities, and transactions and to allow prompt reaction. • Actual results are measured against agency's specific objectives.
	12.3 Transactions and events must be promptly recorded, properly classified, and fully and clearly documented.	• There is a clearly identifiable audit trail within the agency. • There is a sufficient level of coordination between the accounting and information system processing functions/ departments.
	12.4 Information systems deal not only with quantitative and qualitative forms of internally generated data, but also with information about external events, activities, and conditions necessary for informed decision-making and reporting.	• The agency's financial management ensures and monitors user involvement in the development of programs, including the design of internal control checks and balances. • The agency's officers and employees concerned receive both operational and financial information to help them determine whether they are meeting the strategic and annual performance plans, and the agency's goals for accountability of resources.
13. Management communicates information	13.1 Information can be communicated in a verbal, written, and/or electronic form.	• There is a process to quickly disseminate critical information throughout the agency, when necessary.

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
throughout the agency.	13.2 Communication occurs in all directions – flowing down, across, and up the agency – throughout all components and the entire structure.	• The lines of authority and responsibility (including lines of reporting) within the agency are clearly defined and communicated. • Policies and procedures are established for, and communicated to personnel at decentralized locations (including foreign operations). • Communication flows down, across, and up the agency, throughout all components and the entire structure. • Employees believe they have adequate information to complete their job responsibilities. • Employees' specific duties are clearly communicated to them, and they understand the relevant aspects of internal control, how their roles fit into it, and how their work relate to the work of others. • Employees are informed that when the unexpected occurs in performing their duties, attention must be given not only to the event but also to the underlying cause, so that potential internal control weaknesses can be identified and corrected before these can do further harm to the agency. • Acceptable behavior versus unacceptable behavior and the consequences of improper conduct are clearly communicated to all employees.

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
		- Personnel have a means of communicating information upstream within the agency through someone other than a direct supervisor, and there is a genuine willingness to listen on the part of management. - Mechanisms exist to allow the easy flow of information down, across, and up the agency; and easy communications exist between/among functional activities such as between procurement activities and production activities.
14. Management communicates information with external parties.	14.1 Management provides adequate means of communicating with, and obtaining information from external parties.	- The agency provides a citizen's charter showing procedures or flow of documents. - The chart is posted in conspicuous places in the department, office, or agency for the information and guidance of all concerned. - All information are classified, summarized, and disseminated on a regular basis. - The agency establishes mechanisms to gather feedback and suggestions on the efficiency, effectiveness, and economy of frontline services.
	14.2 Management establishes separate reporting line, where it is necessary.	- Confidential and sensitive information are restricted to those individuals who need them. - Personnel understand that there will be no reprisals for reporting adverse information, improper

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
		conduct, or circumvention of internal control activities. • There is a process for employees to communicate improprieties. The process is well communicated throughout the agency. • The process allows for anonymity of individuals who report possible improprieties. • There are processes for reporting improprieties and actions taken to address them to senior management, the head of agency, or the governing body.
	14.3 Agency's method of communication considers the audience to be reached, the nature and availability of the information, the cost, and the legal or regulatory requirements.	• Ownership is assigned to a member of management to help ensure that agency responds appropriately, timely, and accurately to communications with customers, vendors, regulators, and other external parties. • The agency institutes mechanisms by which clients may adequately express their complaints, comments, or suggestions such as in hotline numbers, short message service, or information and communication technology. • The agency communicates frequently with its constituents or the public it serves and stakeholders to ensure continual understanding of their requirements, needs, and expectations.

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
		• The head of agency or the governing body establishes measures and standards that will ensure transparency of, and openness in public transactions; e.g., biddings, purchases, other internal transactions, including contracts, status of projects, and other matters involving public interest. • The head of agency or the governing body establishes information system that will inform the public of the following: a. policies, rules, and procedures; b. work programs, projects and performance targets; c. performance reports; and d. all other documents classified as public information. • The Citizens' Charter is posted at its office's main entrance or at the most conspicuous place, and in the agency's Seal of Transparency. • The Citizens' Charter includes the following information: a. Vision and mission of the government office or agency; b. Identification of the frontline services offered and the clientele; c. The step-by-step procedure to obtain a particular service; d. The officer or employee responsible for each step; e. The maximum time to conclude the process;

INFORMATION AND COMMUNICATION		
Principles	Principal Foci	Attributes*
		f. Document/s to be presented by the client with a clear indication of the relevance of said document/s; g. The amount of fees, if necessary; h. The procedure for filing complaints in relation to requests and applications, including the names and contact details of the officials/channels to approach for redress; i. Allowable period for extension due to unusual circumstances (i.e., unforeseen events beyond the control of government office or agency concerned); and j. Feedback mechanisms, contact numbers to call, and/or persons to approach for recommendations, inquiries, suggestions, as well as complaints. • There is a process for tracking communications with customers, vendors, regulators, and other external parties.

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MONITORING ACTIVITIES		
Principles	Principal Foci	Attributes*
15. Management establishes and operates activities to monitor the internal control system, and	15.1 Management establishes a baseline to monitor the internal control system.	• The agency provides routine feedback and monitoring of performance and control objectives strategies.

MONITORING ACTIVITIES		
Principles	Principal Foci	Attributes*
evaluates the results.		- The agency has plans for periodic evaluations of control activities in critical operational and support systems. - Procedures are in place to monitor if controls are overridden and to determine if the override was appropriate. - Management reviews control processes to ensure that the controls are being applied as expected. - Issues, information, and feedback concerning internal control raised at trainings, seminars, planning sessions, and other meetings are considered and used by management to address problems or strengthen the internal control structure.
	15.2 Management considers ongoing monitoring activities, separate evaluations, or a combination of both, in the conduct of assessment.	➤ Ongoing activities - The agency establishes an internal audit service. - The internal audit function is independent (in terms of authority and reporting relationships) of the activities it audits. - The internal audit unit regularly assesses the effectiveness of the internal controls. - The monitoring of internal control occurs in the course of the normal, recurring operations of the agency.

MONITORING ACTIVITIES		
Principles	Principal Foci	Attributes*
		- The scope of activities of internal audit service is appropriate, given the nature, size, and structure of the agency. - The scope of planned activities of internal audit service is reviewed in advance by the head of agency or the governing body. - The methodology used may include self-assessments using checklists, questionnaires, or other similar devices/tools. ➤ Separate evaluations - There has been a recent quality assurance review of the internal audit function by an external party such as, but not limited to, the Commission on Audit auditors. - The external party conducting the assessment gains sufficient understanding of the agency's missions, goals, objectives, and its operations and activities. - The external party gains an understanding of how the agency's internal control is supposed to work and how it actually works. - The external party analyzes the results of the evaluation/assessment against established criteria.
16. Management takes appropriate actions on the findings and recommendations	16.1 Deficiencies noted during ongoing monitoring or through separate evaluations are	Management is responsive to the findings and recommendations of audits and other reviews aimed at strengthening internal control

MONITORING ACTIVITIES		
Principles	Principal Foci	Attributes*
of audit and other reviews.	communicated to those positioned to take necessary action.	• Executives with the proper authority evaluate the findings and recommendations, and decide upon the appropriate actions to take to correct or improve control. • Policies/procedures are in place to assure that corrective action is taken, on a timely basis, when control exceptions occur.
	16.2 The findings and recommendations of audits and other reviews are adequately and promptly resolved.	• All reported potential improprieties are reviewed, investigated, and resolved on a timely manner. • Management is kept informed through periodic reports on the status of audit and reviews resolution so that it can ensure the quality and timeliness of individual resolution decisions.

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TYPES OF RISK

A. Strategic Risk

Shown below are some specific strategic risks and their corresponding risk descriptions.

Risk Title	Risk Description
Planning and resource allocation	
Organizational structure	The overall structure of the government instrumentalities does not support the achievement of strategic objectives in an effective and efficient manner.
Strategic planning	Inability to discover, evaluate, and select among alternatives; to provide direction and allocate resources for effective execution; to achieve the strategic objectives of the government.
Operational planning	Misalignment of operating plans and execution to strategic planning. There is also a lack of information needed to make the right decisions.
Budgeting	Inability to effectively budget for new and existing initiatives that support the overall strategic goals and objectives for growth, expansion, and acquisition for public welfare. It also pertains to the inability to effectively budget for programs and projects that would meet the government's Medium Term Philippine Development Plan (MTPDP) or other applicable development plan.
Forecasting	Inability to forecast financial information to enable the allocation of resources to new and existing initiatives.
Resource allocation	Unavailability and inappropriateness of resource allocation process prohibit the government's ability to provide value for the public.
Capital/fund availability	Insufficient access to fund threatens the government's capacity to grow, execute its strategies, and achieve its objectives.
Operational model	The government has an obsolete operation model and does not recognize it, and/or lacks the information needed to make an up-to-date assessment of its current model, and build a compelling operational case form modifying that model in a timely manner.

Risk Title	Risk Description
Operational portfolio	Lack of relevant and reliable information that enables agency management to effectively prioritize its services, or balance its operations in a strategic context, may preclude a diversified agency from maximizing its overall performance.
Outsourcing	Outsourcing activities to third parties may result in the third parties not acting within the intended limits of their authority or not performing in a manner consistent with the government's strategies and objectives.
Major initiatives	
Vision and direction	Failure to establish a vision and direction for major initiatives, including services, products, and programs that will drive future growth. It also pertains to failure to establish project acceptance criteria and adequately measure against the criteria.
Planning and execution	Failure to plan and execute major initiatives due in a coordinated manner.
Measurement and monitoring	Failure to identify appropriate metrics and assess performance, quality, and adherence to the standards as set forth by the government.
Technology implementation	Failure of a major technology implementation to meet the agency's strategic objectives.
Project evaluation	Failure to evaluate project proposals may result in problems when the project has been approved.
Change readiness	The people within the government are unable to implement process and service improvements quickly enough to keep pace with changes in the public environment.
Climate change and sustainability initiatives	Failure to foresee changes in the environment and establish initiatives to keep pace with biological changes may result in operations discontinuance and degradation.
Environment dynamics	
Economic changes	Economic changes such as lower economic growth reduce tax revenue and opportunities to provide a wide range of services or limit the availability or quality of existing services.
Financial market	Movements in prices, rates, indices, and the like threaten the value of the agency's financial assets.
Sovereign/political	Adverse political actions in a country, in which the agency has invested significantly, is dependent on a significant volume of operation; or has entered into a significant agreement with a

Risk Title	Risk Description
	counterparty subject to the laws of that country, threaten the agency's resources and future cash flows.
Customer/public wants	Changing pervasive public needs and wants that the agency is not aware of (e.g., increased demand for faster turnaround of services.)
Technological innovation	The agency is not leveraging advancements in technology in its operations, to achieve or sustain advantage. The agency may also be exposed to the actions of another agency, or substitute that does not leverage technology to attain superior quality, cost, and/or time performance in their service processes.
Environment scan	Failure to monitor the external environment or the formulation of unrealistic or erroneous assumptions about environment risks may cause the agency to retain operation strategies long after these have become obsolete.
Agency environment/ Industry	Changes in opportunities, threats, and other conditions affecting the agency's environment.
Sensitivity	Over commitment of resources and expected future cash flows threatens the agency's capacity to withstand changes in the environment (e.g., interest rates, public demand, changes in regulations, and so on) forces.
Market dynamics	
Macroeconomic factors	Factors relating to macroeconomic conditions that affect the ability to maintain or increase revenue and profitability in a specific agency environment.
Lifestyle trends	Failure to anticipate and respond to changes in overall trends related to lifestyle demands of consumers.
Sociopolitical	Exposure to social and political factors within a market environment that affect the ability to market, sell, and deliver products and services.
Technology changes	Dramatic changes in current technologies that may impact the market viability or demand of current products and services offered by the agency.
Communication and public relations	
Media relations	Inability to anticipate and manage shifts in the information stakeholders want, and the way in which they want it to be communicated to them. It also pertains to the ineffective ongoing transparent communications with the public in order to create goodwill.

Risk Title	Risk Description
Public relations	A decline in customer/public confidence threatens the agency's capacity to efficiently raise or collect funds.
Crisis communications	Failure to communicate the right message in an effective manner to recover and maintain agency operations in the event of a crisis or disruption due to physical or natural circumstances.
Employee communications	Inability to understand and respond to the communication needs of different employees.

B. Operations Risk

The table below shows some specific operations risks and their corresponding risk descriptions.

Risk Title	Risk Description
Public service and operations	
Customer/public satisfaction	A lack of focus on the customer/public threatens the agency's capacity to meet or exceed the customer's/public's expectations.
Channel effectiveness	Poorly performing or positioned channels access threatens the agency's capacity to effectively and efficiently serve the customer/public.
Cycle time	Unnecessary activities threaten the agency's capacity to deliver services in a timely manner.
Service failure	Faulty or non-performing services expose the agency to customer/public complaints, litigation, and loss of revenues and agency reputation.
Efficiency	Inefficient operations threaten the agency's capacity to deliver services at the lowest cost and shortest time possible.
Capacity	Insufficient capacity threatens the agency's ability to meet customer/public demands, or excess capacity threatens the agency's ability to generate competitive profit margins.
Performance measure/gap	Inability to perform at world-class levels in terms of quality, costs, and/or cycle time, due to inferior operating practices, threatens the demand for the agency's services.
Partnering/contracting	Inefficient or ineffective external relationships affect the agency's capacity to serve. These uncertainties arise due to choosing the wrong partner, poor execution, taking more than what is given

Risk Title	Risk Description
	(resulting in loss of a partner), and failing to capitalize on partnering opportunities.
People	
Culture	Failure to establish a culture that is consistent with management's philosophy and that encourages integrity, values, and ethical competence.
Recruiting and retention	Failure to attract, hire, and retain qualified human resources to optimize execution of the agency's objectives.
Development and performance	Inability to develop and enhance employee skills and provide performance management that ensures optimal achievement of organizational strategies, goals, and objectives.
Succession planning	Failure to create and implement an effective succession plan for senior executives, other key positions, and employees throughout the agency. It also pertains to the failure to align succession planning with strategic planning and leadership development objectives.
Knowledge capital	Processes for capturing and institutionalizing learnings across the agency are either non-existent or ineffective, resulting in slow response time, high costs, repeated mistakes, slow development, constraints on growth, and unmotivated employees.
Compensation and benefits	Failure to provide a total compensation package (base salary, annual/long-term incentive, benefits/perquisites) that are market competitive and aligned to agency and compensation strategies, and failure to retain and motivate employees to achieve desired results.
Performance incentives	Unrealistic, misunderstood, subjective, or non-actionable performance measures may cause senior management, division heads, and employees to act in a manner inconsistent with the agency's objectives, strategies, and ethical standards, and with prudent agency practice.
Health and safety	Failure to provide a safe working environment for its workers exposes the agency to compensation liabilities, loss of operational reputation, and other costs.
Information technology	
Security/access	Failure of information systems to adequately protect the critical data and infrastructure from theft, corruption, unauthorized usage, viruses, or sabotage.

Risk Title	Risk Description
Availability/continuity	Inability to recover from, and continue uninterrupted operations in the event of extraordinary events, systems, and implementation failures.
Integrity	Information systems that do not provide reliable information when it is needed, or perform so slowly; thus, operations are not efficient and effective.
Infrastructure	The computer and telecommunications systems with supporting software do not capture, retain, and transfer data in a secured and reliable environment; and do not meet the expected requirements of the agency at a reasonable cost.
Hazards	
Natural events	Threat to disrupt the operations and the ability of the agency to sustain operation, provide essential services, recover operating costs, or accomplish planned target due to natural events (e.g., fire, earthquake, tornado).
Terror and malicious acts	Threat to disrupt the operations, and the ability of the agency to sustain operations, provide essential services, recover operating costs, or accomplish planned target due to terrorism activities or other malicious acts.
Physical assets	
Real estate	Failure to provide physical protection and stewardship over real estate, designed to optimize longevity and utilization.
Property, plant and facilities	Failure to provide physical protection and stewardship over long-lived assets (such as buildings, furniture, fixtures, machinery, equipment, and other assets), designed to optimize longevity and utilization.
Inventory	Failure to provide physical protection and stewardship over inventories, designed to optimize utilization while minimizing obsolescence and contamination, among others.

C. Compliance Risk

The table below shows some specific compliance risks and their corresponding risk descriptions.

Risk Title	Risk Description
Mandate	
Function	Failure to align process objectives and performance measures with the mandate of the agency, its objectives, and strategies may

Risk Title	Risk Description
	result in conflicting, uncoordinated activities throughout the agency.
Governance	
Governing body/ management committee performance	Failure of the governing body to discharge in good faith its obligations and duties owed to the agency and its stakeholders and to possess adequate knowledge to interpret and act on the information provided.
Tone at the top	Senior management fails to establish an environment that encourages integrity, ethical values, and competence of the agency's people through management's philosophy and operating style, assignment of authority and responsibility, and organization and development of its people.
Authority/limit	Ineffective lines of authority may cause senior management, division heads, or employees to do things they should not do or fail to do things they should.
Control environment	Failure to establish and maintain an internal control environment aligned with stakeholder and regulatory expectations.
Corporate social responsibility	The mismanagement of "socially responsible" activities (e.g., conducting social responsibility training for management of manufacturers, undertaking environmental programs, and participating in community initiatives), resulting in an unfavorable agency perception by stakeholders, customers, suppliers, agency partners, employees, and the regulatory community.
Reputation	Damage to the agency's reputation exposes it to loss of customer/ public trust, profits, and the ability to grow.
Code of conduct	
Ethics	The absence of formal standards of employee behavior that are intended to direct and influence the way agency operation is conducted, above and beyond the letter of the law.
Fraud	Potential unethical acts committed by agency employees or other stakeholders may negatively impact the agency's reputation.
Employee/third party fraud	Fraudulent activities perpetrated by employees, suppliers, agents, or third-party administrators against the agency for personal gain (e.g., misappropriation of physical, financial, or information assets) expose the agency to financial loss.
Illegal acts	Illegal acts committed by senior management, division heads, or employees expose the agency to fines, sanctions, and loss of public trust, profits, and reputation, among others.

Risk Title	Risk Description
Management fraud	Management fraud (e.g., intentional misstatement of financial statements or critical reports) may adversely affect stakeholders' decisions.
Unauthorized use	Unauthorized use of the agency's physical, financial, or information assets by employees or others exposes the agency to unnecessary waste of resources and financial loss.
Legal	
Contract	Entering into contracts that are unfavorable to the agency; and the failure to comply with, and monitor contract terms to protect the agency from financial losses.
Liability	A responsibility, duty, or obligation that may result in lawful consideration to provide satisfaction, compensation, or other forms of restitution.
Intellectual property	Failure to create, capture, enhance, leverage, and protect the collective knowledge, expertise, and ideas of agency employees which are valued as non-physical assets.
Anti-corruption	Failure to create an agency environment which opposes to corruption and instill agency practices which prevent corruption.
Legal	Changing laws threaten the agency's capacity to consummate important transactions, enforce contractual agreements, or implement specific strategies and activities.
Regulatory	
Trade	Failure to identify and prevent legal risks posed by non-compliance with governmental and international regulatory requirements for trade practices, e.g., anti-dumping and trade policy.
Customs	Failure to identify and prevent legal risks posed by non-compliance with governmental and international regulatory requirements for customs.
Procurement	Failure to identify and prevent legal risks posed by non-compliance with the Government Procurement Reform Act.
Road-right-of-way (RROW) acquisition	Failure to implement infrastructure projects due to RROW problems and risks posed by non-compliance with Comprehensive and Continuing Urban Development and Housing Program (RA 7279).
Labor	Failure to identify and prevent legal risks posed by non-compliance with governmental and international regulatory

Risk Title	Risk Description
	requirements for labor rules and regulations, including taxes, wages, anti-discrimination, family and medical leave, workplace violence, etc.
Securities	Failure to identify and prevent legal risks posed by non-compliance with governmental and international securities regulatory requirements.
Environment	Failure to identify and prevent legal risk posed by non-compliance with governmental and international environmental regulations, e.g., non-compliance with ISO 4001 standards.
Data protection and privacy	Failure to identify and prevent legal risks posed by non-compliance with privacy rules, regulations, and standards, resulting in improper disclosure of confidential customer information.
International	Exposure to geo-political, regulatory and fraud risks via international agency dealings.
Product/service quality	Failure to identify and prevent legal risks posed by non-compliance with governmental and international regulatory requirements for product/service quality and safety.
Health and safety	Failure to identify and prevent legal risks posed by non-compliance with governmental and international rules and regulations for health and safety.
Competitive practice/ antitrade	Failure to identify and prevent legal risks posed by non-compliance with government and international rules and regulations for competitive practices/anti-trade. Lack of awareness of statutory and regulatory application of export and customs policies and requirements.

D. Financial Risk

The table below shows some specific financial risks and their corresponding risk descriptions.

Risk Title	Risk Description
Market	
Interest rate	Unfavorable price paid per unit of funds borrowed, rate of return received on invested assets, or interest rate fluctuations beyond projected range.
Foreign currency	Unfavorable fluctuations in the currency of another market that is needed to carry out international transactions.

Risk Title	Risk Description
Commodity	Unfavorable fluctuations in the price of raw materials or other commodities used in product development/service delivery that are not anticipated and managed.
Financial instrument	Financial market risk can vary depending on the particular segment of the market to which the holder of a financial instrument is exposed or the way in which the exposure is structured.
Liquidity and credit	
Cash management	Failure to efficiently and effectively administer and manage cash flows to maintain adequate liquidity and meet obligations.
Opportunity cost	The use of funds in a manner that leads to the loss of economic value, including time value losses, transaction costs, and other causes of loss of value.
Funding	Failure to meet the requirements of a portfolio of capital investments and obligations based on specified commitments or in accordance with the terms of an agreement (i.e., retirement and capital accounts). Failure to receive appropriate funds to finance programs and projects.
Hedging	Failure to purchase or undertake sale transactions that effectively minimize profits or losses arising from price fluctuations.
Credit and collections	Inability to obtain the optimal level of payment received as a result of a prior agency transaction.
Insurance	Insurance coverage fails to protect the agency from significant financial losses due to incidents and claims.
Accounting and reporting	
Accounting, reporting, and disclosure	Incomplete, inaccurate, and/or untimely reporting of required financial and operating information to regulatory agencies may expose the agency to fines, penalties, and sanctions. Over-emphasis on financial accounting and other information to manage the operation may result in the manipulation of outcomes to achieve targets at the expense of not meeting public expectation, quality, and efficiency objectives.
Internal control	Significant or material weaknesses resulting from inadequate financial internal controls, impacting management's assessment and reporting under country regulations.

Risk Title	Risk Description
Investment evaluation	Lack of relevant and/or reliable information supporting investment decisions and linking the financial risks accepted to the capital at risk may result in poor short- or long-term investments.
Tax strategy and planning	Failure to properly evaluate and execute tax planning strategies. Misalignment of tax objectives and strategies with overall agency objectives, strategies, and initiatives.
Capital structure	
Debt	Potential over-reliance on borrowing from creditors to provide adequate working capital for agency objectives and/or to cover current operating obligations, resulting in an unfavorable debt to equity ratios.
Equity	Inability to offer marketable securities appropriately priced for the enterprise's value.
Pension funds	Inability to identify, establish, and maintain the optimal structure for pension funds.

TYPES OF FRAUD RISK

Fraud Categories	Examples/Schemes	Description
Corruption	Conflict of interest	Occurs when an agency's personnel or official/s is/are involved in multiple interests, one of which could possibly corrupt the motivation for an act in the other.
	Kickback scheme	Kickbacks are the receiving or giving anything of value to influence a decision that benefits an agency's personnel or officials.
	Bid rigging scheme	Bid rigging is a form of fraud in which a contract is promised to one party even though for the sake of appearance, several other parties also present a bid.
	Illegal gratuities	In a typical illegal gratuities scenario, a decision is made which happens to benefit a certain person or agency. The party who benefited from the decision then gives a gift to the person who made the decision.
	Economic extortion	An agency's personnel/official demands that a vendor/contractor pay him in order to make a decision in that vendor's/contractor's favor.
Fraudulent Statements	Timing differences	Recording of revenues and expenses in improper periods.
	Fictitious revenues	Recording of sales of goods and services that did not occur.
	Concealed liabilities	Understating liabilities and expenses, often through liability/expense omission or capitalized expenses.
	Improper disclosures	Failure to appropriately disclose or include all significant information in the financial statements, and in management's discussion and analysis.

Fraud Categories	Examples/Schemes	Description
	Asset/Revenue understatement	Deliberate non-disclosure of revenue or misrepresentation of expenses to slash bottom line profit. This understatement can be done directly or through accelerated depreciation.
	External documents	Falsification of government official documents such as birth certificates and marriage certificates.
Asset Misappropriation	Larceny of cash	Intentional taking away of recorded cash by an agency's personnel/official, without the consent and against the will of the agency.
	Skimming of cash	Intentional taking away of cash by an agency's personnel/official prior to its recording in the agency's records/books.
	Shell company	Shell company schemes use a fake agency established by a personnel/official of an agency to bill the agency for goods or services it did not receive. The personnel/official converts the payment to his or her own benefit.
	Pass-through	Pass-through schemes use a shell company established by personnel/official of an agency to purchase goods or services for the agency, which are then marked up and sold to the agency through the shell. The personnel/official converts the mark-up to his or her own benefit.
	Pay-and-return	Pay-and-return schemes involve a personnel/official of an agency, purposely causing an overpayment to a legitimate vendor. When the vendor returns the overpayment to the agency, the personnel/official embezzles the refund.
	Personal purchases	Use of agency's accounts to buy items for the personal, business, and family use of a personnel/official of an agency.
	Ghost employee scheme	Salary payments made to fictitious or former employees (may be a real or fake person).

Fraud Categories	Examples/Schemes	Description
	Falsified wages	Involves fraudulently increasing the size of an employee's paycheck by falsifying the number of hours worked or increasing wage rate.
	Mischaracterized expenses	Requesting reimbursement for a personal expense by claiming that the expense is agency-related.
	Overstated expenses	This scheme can be accomplished in a number of ways, including altering of receipts showing a much higher cost, over purchasing or overstating personnel/official of an agency's expenses reimbursement.
	Fictitious expenses	This involves personnel/official of an agency seeking reimbursement for fictitious expenses. This is accomplished by producing fictitious receipts, obtaining blank receipts from vendors or claiming the expenses of others.
	Multiple reimbursements	This scheme can be accomplished through submission of a single expense several times. An example of a multiple reimbursement scheme is the submission of several types of support for the same expense.
	False refund scheme	In this scheme, an agency's personnel/official can either process an entirely fictitious refund or merely overstate the amount of a legitimate refund and skim the excess money.
	Forged maker scheme	May be defined as a check tampering scheme in which an agency's employee/official misappropriates a check and fraudulently affixes the signature of an authorized maker thereon.
	Forged endorsement scheme	A check tampering scheme in which an agency's personnel/official intercepts an agency's check intended to pay a third party, and converts the check by endorsing it in the third party's name.
	Altered payee scheme	An agency's personnel/official intercepts an agency's check intended for a third party, and alters the payee designation for the check to be

Fraud Categories	Examples/Schemes	Description
		converted by the personnel/official or an accomplice.
	Authorized maker scheme	Occurs when an agency's personnel/official, with signing authority on an agency's account, writes fraudulent checks for his/her own benefit and signs his own name as the maker.
	Receivables write-off scheme	Involves posting of entries to contra revenue accounts, such as "discounts and allowances", to cover skimming of receivables.
	Receivables lapping scheme	Lapping is the crediting of one account through the abstraction of money from another account.
	Asset requisitions & transfers	Agency's personnel/official uses internal asset requisitions and transfers paperwork to gain access to merchandise/supplies, which he/she otherwise may not be able to handle without raising suspicion. In the process of this movement, the thief steals the merchandise/supplies.
	Unconcealed larceny scheme	This fraud is where an employee simply takes inventory from the agency's premises, without attempting to conceal the theft in the books and records.

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